N2N CONNECT BERHAD

ANNUAL REPORT

2015

MISSION STATEMENT

To be The One Stop Innovative Application Provider for e-Commerce and m-Commerce in the Global Financial Industry.

Never Stop Innovating

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CORPORATE INFORMATION

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(AF 001977)
Chartered Accountants
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REGISTRAR
Symphony Share Registrars Sdn Bhd
(378993-D)
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PRINCIPAL BANKERS
Ambank (M) Berhad
Malayan Banking Berhad
OCBC Bank (Malaysia) Berhad

STOCK EXCHANGE LISTING
ACE Market of Bursa Malaysia
Securities Berhad
Stock Name: N2N
Stock Code: 0108

BOARD OF DIRECTORS

Tiang Boon Hwa
Managing Director

Lai Su Ping
Non-Independent Executive Director

Chua Tiong Hoong
Non-Independent Executive Director

Oh Kim Sun
Independent Non-Executive Director

Ybhg Datuk Tan Boon Leng
Independent Non-Executive Director

Goh Fuqiang, Kenneth
Independent Non-Executive Director

Akio Furuse
Non-Independent Non-Executive Director

Tetsuya Iguchi
Non-Independent Non-Executive Director

Elaine Foong Sooi Jade
Independent Non-Executive Director

N2N CONNECT BERHAD

100%
NGN CONNECTION SDN BHD

100%
N2N CONNECT PTE LTD

100%
N2N GLOBAL SOLUTIONS SDN BHD

100%
N2N ADVANCED LEARNING SDN BHD

GLOBAL FIN NET SDN BHD
100%

N2N CONNECT AUSTRALIA PTY LTD
100%

INFLUX BIOTECH SDN BHD
70%

CHAIRMAN'S STATEMENT

Dear shareholders,

On behalf of the Board of Directors of N2N Connect Berhad ("N2N" or "Company"), I am pleased to present the Annual Report and Audited Financial Statements of N2N and its subsidiaries ("Group") for the financial year ended 31 December 2015 ("Year 2015").

2015 is an eventful year for N2N. Following the partnership with Nikkei Inc and QUICK Corp, we have launched Nikkei Asian Review along with the new TcPro Global, an information and trading rich platform that incorporate with QUICK's advance analytic and Nikkei's Asian news and fundamental reporting system. In addition to the award of Malaysia Top 10 Award won last year, N2N won The Best Shared Service Operation in Outsourcing Malaysia 2015 and awarded ISO27001:2013 Certification for best practice framework in information security management system.

In the domestic market, we have increased our market share further by signing up additional brokers in both equities and derivatives segments thus further strengthening our leadership position. We have also acquired 2 additional companies to provide Back Office and Settlement Services as well as Advanced Learning Centre which provides proficiency training for dealing and investment officer with skillset that could allow them play a new and more effective role.

In our regional expansion plan, we have also successfully developed and obtained certification of conformance from Australia Stock Exchange (ASX) and Chi-X as well as Hong Kong Stock Exchange (HKEX). These achievements are important milestones for our regional expansion plan to propel the Company growth to the next level, especially in the era of strong forex and weak Ringgit. We have also successfully facilitated Philippine Stock Exchange (PSE) to migrate their Exchange matching platform from NYSE's Euronext to NASDAQ's OMX. The adoption of our TcPro as their brokers' primary trading terminal to replace the outgoing PAM terminal greatly boost N2N as the leading trading terminals which could be adopted by other regional Exchanges.

To make our product suite more comprehensive, N2N has entered into strategic alliance with Ancoa of United Kingdom to provide its Risk and Surveillance System, a contextual surveillance and insightful analytics for exchanges, regulators, brokers-dealers, investment firms, buy & sell-side firms. We have also entered into a strategic OEM agreement with Hewlett Packard Inc to license and resell their enterprise server under our very own brand. This will allow us to tap a new market with servers configured under our own specification.

Before the year wrap up, N2N also signed up the Multimedia Development Corporation, now known as Malaysia Digital Economy Corporation (MDeC)'s Global Access Innovation Network (GAIN) program and commit N2N to its globalization program. N2N was part of the group of 21 that was invited to attend the MDeC Americas inauguration in the Palo Alto as well as to visit several of the Silicon Valley's companies to exchange knowledge and to explore collaborative partnerships. This initiative paves a great way for N2N to eventually set foot into The United States of America.

While we are glad that 2015 has been a great year for N2N, we mourned for the loss of Ybhd Dato' Chew Kong Seng, our Chairman of Audit Committee and member on the Board of Director as well as Hilman, our dispatch rider who passed away. In the same year, we also mourned the loss of Madam Yong Ying Chow, the mother of Chan See Wai, our co-founder.

On behalf of the Board of Directors, I like to express deepest condolence to the families of the decease.

Financial Performance Highlights

Financially, I am happy to report on behalf of the Board of Directors that N2N grew with a strong momentum and recorded a new high in revenue, profit and share price since the last 8 years. The core businesses of N2N remain on track for strong growth due to prudent management, innovative R&D and aggressive sales force and service teams. We have successfully signed up additional equities and derivatives brokers. We have also successfully launched TcPro Global with Nikkei Inc's Real Time News with Asia Top 300 and QUICK Corporation's Analytics.

The Group achieves a new 8 years high of RM38.9 million in Revenue and RM10.4 million in Profit Before Taxation for 2015 compares to RM34.2 million in Revenue and RM7.1 million in 2014. Our cash reserves grew to a record high of RM110.6 million thereby giving us a strong war chest to grow via strategic acquisition.

A number of funds managers have begun to take a special interest in N2N in view of our strong growth, great regional potential and more importantly, the focus of global importance of Fintech emergence as the next technological high growth segment. Some research houses have also began coverage on N2N.

Following the strong growth achieved in 2015, we are glad to reward our shareholders with twice a year dividends of 10% each and we look forward to continuous growth in the coming years despite the anticipated challenging years ahead.

INDUSTRY TREND AND DEVELOPMENT

Market Overview

Business Monitor International ("BMI") expects the Information Technology market will increase to a value of RM26.3 billion in 2020, up 6.8% from 2016, with growth fuelled by a supportive economic environment and government policy. In the enterprise market, growth will be slightly slower, with corporate customers more hesitant as a result of ongoing global economic uncertainty. However, there will be some areas of strong growth, including security software and services, as well as outsourcing and cloud computing.

Key Trends and Developments

The popularity of tablets is having a major impact on the Malaysian hardware market, although shipments of desktops are not in decline as in more developed markets, with personal computer ("PC") vendors able to tap demand from first time buyers. Government procurement is also supporting the market for traditional PC devices via its netbooks for education programme. There have been reports of increasing consumer interest in convertible notebooks/ultrabooks with integrated touch functionality, which BMI believes will take an increasing share of sales through 2014 as vendors innovate with design while prices continue to decline.

In the enterprise market, cyber security, cloud computing products and solutions are being deployed by an increasing number of firms promoting a greater awareness of cyber threats. Cloud computing growth has been catalysed by government policy, with Multimedia Super Corridor ("MSC") Malaysia seeing it as a strategic priority and working to develop a national cloud computing platform. Cloud projects are not confined to the national level, as state governments are also exploring this area. However, surveys have found that Malaysian organisations lag regional peers, such as Singapore, in terms of cloud awareness and adoption. Areas of weakness include Intellectual Property protection and data centre risk, although broadband infrastructure and connectivity has continued to improve, with the National Broadband Initiative, and new cables to Indonesia and Japan.

(Source: Malaysia Information Technology Report Q2 2016, Business Monitor International)

RESEARCH AND DEVELOPMENT

Over a decade in business, the Group continues its main focus on its R&D efforts as it believes R&D remains a critical factor for N2N to maintain its competitive edge and remain a leader in the constantly evolving financial industry. New Product line such as TcPro Global for Advance Information Services and Trading, TcPlus for Web and TcMobile for Smartphone and Tablet trading together with the new Algorithmic trading and Low Latency Trading Platform are result of the strong and committed R&D which will ensure N2N's competitiveness. The acquisition and continuous R&D investment in Back Office Settlement service will boost N2N as a comprehensive provider of the most advance and fully integrated system in line with our vision to become the Asia's number 1 provider.

In the coming years, we remain committed to heavily invest in R&D in order to maintain our leadership position and to continue to encourage the development of fresh innovative concepts.

FUTURE PROSPECTS

Armed with a strong war chest, The Group will continue to actively pursuing suitable merger and acquisition targets we have identified that will be complementary to the Group's business activities. This will allow us to speedily enter into new marketplace to establish strong regional leadership position. We have identified Australia, Hong Kong and Japan as our priority focus for the coming years.

The expanded services shall soon include the new Back Office Settlement System ("BOS") , which shall be ready in mid 2016. The integrated BOS system shall further help to propel the offering of regional trading services where trading and settlement would be offered as a comprehensive one stop services. This is important as the lack of such integrated services have been a show stopper for broker who wish to adopt a regional strategy but could not offer complete settlement services for foreign trading.

The Board remains confident that, with a proven global strategy, continued strong execution and further differentiation in products and services, the Group will continue to deliver profitable growth in the coming year.

ACKNOWLEDGEMENT

On behalf of the Board of Directors, I wish to extend the Board's appreciation to all our stakeholders for supporting us in marking our important milestones during the year under review.

I would also like to thank my colleagues on the Board, the management team and all the N2N staff for all their hard work, dedication, continued commitment and invaluable assistance to produce the robust performance of the Group. The achievement is a testimony of determination and dedication that our people have relentlessly pursued throughout the years.

I am confident that the journey in N2N will continue to be exciting and I look forward to yet another successful year ahead.

Tiang Boon Hwa
Managing Director

DIRECTORS' PROFILE

Mr. Tiang Boon Hwa

53 years of age, Singaporean

Managing Director

Mr. Tiang Boon Hwa is one of the Company's founders and was first appointed to the Board of the Company on 24 August 2000. He obtained his Diploma in Computer Studies from City and Guilds of London Institute, United Kingdom in 1982. His main responsibilities include management of the Group's overall business, technology and financial matters. He started his career as a programmer with SGV Goh Tan Pte Ltd, a Singapore accounting cum software house and was promoted to senior consultant at the age of 25. In 1988, he left SGV Goh Tan Pte Ltd and headed the regional audit division (IT audit) of Citibank N.A South Asia, based in Singapore and was subsequently awarded the Best IT Auditor for Asia Pacific Region in 1989. He joined Computer Associates Pte Ltd in 1990 as an account manager and quickly rose to become the managing director for Computer Associates Pte Ltd's subsidiary in Malaysia in 1992.

Later, he joined i2 Technologies Pte Ltd in 1996 as a regional director to set presence in several Asian countries. In 1998, he joined Exact Software Asia Sdn Bhd to start up the Asia Development Centre. Having gained wide exposure in both information technology and business operations, he began his entrepreneur pursuit by starting N2N, in year 2000 together with several friends.

He does not hold any directorships on the Board of other public listed companies in Malaysia.

He is a substantial shareholder of the Company and the spouse of Mdm. Lai Su Ping, the non-independent executive director and substantial shareholder of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 116 of this Annual Report for his securities holding.

Mr. Chua Tiong Hoong

45 years of age, Malaysian

Non-Independent Executive Director

Mr. Chua Tiong Hoong is one of the Company's founders and currently an Executive Director of business development. He was first appointed to the Board of the Company on 10 August 2000. He graduated with a Bachelor of Science in Computer Science (Double Major in Mathematics and Computing) degree from the University of Adelaide (Australia) in 1992. His main responsibility includes managing the day-to-day operations focusing on project implementation and technical operations of our Group. He started his career as a network engineer at Applied Business System Sdn Bhd in 1993. He was later responsible for project development and also managing the company's helpdesk. In 1994, he joined MicroForest Systems (M) Sdn Bhd as a project manager to spearhead the implementation of resource planning, point-of-sales and back-end systems for retail and manufacturing industries.

He also supported the multilevel marketing and chemical manufacturing system. From 1997 to 2000, he was with Exact Software Asia Sdn Bhd as an assistant manager responsible for system development, specialising in Enterprise Resources Planning System. He founded N2N together with the founder members in 2000.

He sits as the Chairman of the Option Committee. He does not hold any directorships on the Board of other public listed company in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 116 of this Annual Report for his securities holding.

Mdm. Lai Su Ping

45 years of age, Malaysian

Non-Independent Executive Director

Mdm. Lai Su Ping is one of the Company's founders and currently an Executive Director of marketing and corporate events. She was first appointed to our Board on 10 August 2000. She obtained her Diploma in Marketing from the Chartered Institute of Marketing, United Kingdom in 1991. She is primarily responsible for the corporate events and public relations of our Company. She started her career in 1988 as a marketing executive for Yvonex Sdn Bhd and later she joined Kumpulan Jetson Berhad as a project executive specialising in events and exhibition organisation. In 1994, she joined Computer Associates (M) Sdn Bhd as a channel manager where she was instrumental in establishing a customer service team as well as setting up channel sales via the appointment of product distributors.

She does not hold any directorships on the Board of other public listed companies in Malaysia.

She is a substantial shareholder of the Company and the spouse of Mr. Tiang Boon Hwa, the managing director and substantial shareholder of the Company. There is no conflict of interest with the Company. Within the last 10 years, she has not been convicted for any offences, other than traffic offences, if any. Please refer to page 116 of this Annual Report for her securities holding.

Ybhg Datuk Tan Boon Leng

50 years of age, Malaysian

Independent Non-Executive Director

Ybhg Datuk Tan Boon Leng was first appointed to the Board of the Company on 15 April 2009. He is currently a Director of Century Bond Bhd ("Century Bond") group of companies and he has over 31 years of business experience and contributed to the growth and expansion of the business of Century Bond and its subsidiaries especially in the areas of sales and marketing of the Century Bond Group's products.

He also sits as the Chairman of the Remuneration Committee and as a Member of the Nomination Committee and Audit Committee.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 116 of this Annual Report for his securities holding.

Mr. Goh Fuqiang, Kenneth

35 years of age, Singaporean

Independent Non-Executive Director

Mr. Goh Fuqiang, Kenneth was appointed to the Board of the Company on 13 June 2013. He graduated with a Master of Science, Management Science & Engineering from Stanford University and Bachelor of Engineering, Biomedical Engineering from Imperial College London. He is currently a Director of 28 Holdings Pte Ltd since 2010. He was a Director of Corporate Strategic Development at Asiatravel.com, Singapore from 2011 to 2012. Prior to that, he was an Associate with the Government of Singapore Investment Corporation (GIC). He does not hold any directorships on the Board of other public listed companies in Malaysia.

He also sits as the Chairman of the Nomination Committee, Member of Audit Committee and Remuneration Committee.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 116 of this Annual Report for his securities holding.

Mr. Oh Kim Sun

67 years of age, Malaysian

Independent Non-Executive Director

Mr. Oh Kim Sun was appointed to the Board of the Company on 8 October 2015.

Mr. Oh is a member of the Malaysian Institute of Certified Public Accountants. Mr. Oh began his career in 1972 with Coopers & Lybrand in London. Subsequently, Mr. Oh held positions as Finance Director of Taiko Plantations Sdn Bhd, Financial Controller of ICI Malaysia and Finance Manager (Secondment) of ICI Headquarters in London responsible for Northern Europe. In 1994, Mr. Oh was appointed as Group Executive Director of Chemical Company of Malaysia Berhad until 2003.

Mr. Oh is a director of Golden Land Bhd, a company listed on the Main Market of Bursa Securities and also a director of the subsidiary of Chemical Company of Malaysia Berhad and subsidiary of UEM World Berhad. He is also a Director of Nikko Electronics Berhad (in liquidation). He is the Chairman of the Audit Committee of the Company.

He does not hold any shares in the Company or its subsidiaries, has no family relationship with any Director and/or major shareholder of the Company, and has no conflict of interest with the Company and has no conviction for any offences within the past ten (10) years other than traffic offences, if any.

Mr. Akio Furuse

45 years of age, Japanese

Non-Independent Non-Executive Director

Mr. Akio Furuse was appointed to the Board of the Company on 7 July 2014.

Mr. Furuse held various posts in QUICK Corp., including Staff of Sales Headquarters (Japan), Assistant Manager of London Branch (United Kingdom), Solutions Manager of Business Planning Department (Japan) and Deputy General Manager of Global Business Department (Japan). He serves as General Manager for Business Development at Nikkei Group Asia Pte. Ltd. (Singapore). He holds a Bachelor Degree in Sociology from Kansai University, Japan. He does not hold any directorships on the Board of other public listed companies in Malaysia.

Mr. Furuse sits as a Member of the Remuneration Committee and Option Committee of the Company. He does not hold any shares in the Company or its subsidiaries, has no family relationship with any Director and/or major shareholder of the Company, no conflict of interest with the Company and has had no conviction for any offences within the past ten (10) years other than traffic offences, if any.

Mr. Tetsuya Iguchi

53 years of age, Japanese

Non-Independent Non-Executive Director

Mr. Tetsuya Iguchi was appointed to the Board of the Company on 7 July 2014.

Mr. Iguchi has been Editor-in-Chief, Editorial Headquarters for Asia of Nikkei Inc. and Assistant to Managing Director (Singapore) at Nikkei Group Asia Pte. Ltd. since 2014. He joined Nikkei Inc. in 1985 and held various posts as a writer and an editor including Deputy Managing Editor, Editorial Bureau (Tokyo) at Nikkei Inc from 2013 to 2014 and Editor-in-Chief for the Nikkei Business Daily from 2011 to 2013. He has a B.A. in Political Science, Waseda University, Japan. He does not hold any directorships on the Board of other public listed companies in Malaysia.

Mr. Iguchi sits as a Member of the Nomination Committee and Option Committee of the Company. He does not hold any shares in the Company or its subsidiaries, has no family relationship with any Director and/ or major shareholder of the Company, no conflict of interest with the Company and has no conviction for any offences within the past ten (10) years other than traffic offences, if any.

Ms. Elaine Foong Sooi Jade

40 years of age, Malaysian

Independent Non-Executive Director

Ms. Elaine Foong Sooi Jade was appointed to the Board of the Company on 15 March 2016. She is also a member of the Audit Committee.

Ms. Foong is a fellow member of The Association of Chartered Certified Accountants, and a member of the Malaysian Institute of Accountants.

She began her career in 1999 with Messrs. KPMG, Malaysia in the audit and assurance division. Subsequently, in 2001, she joined Messrs. Chio Lim & Associates, Singapore as Audit Team Lead. During this time, she led teams for various engagements, including the successful completion of two initial public offerings on the Singapore Stock Exchange.

In 2004, Ms. Foong joined N2N Connect Berhad as Head of Finance Department. She was instrumental in N2N Connect Berhad's successful initial public offering exercise in 2005. During her tenure with the Company, she oversaw the finance, human resource, administrative, legal and compliance functions, and was very actively involved in business restructuring exercises, corporate proposals and strategic planning exercises. She left the Company in February 2014.

Presently, she is co-partner cum chief trainer at the Alam Damai branch of the Pinoki Brain Training network, a Japanese-based whole-brain training program which enhances a child's memory and learning ability. She does not hold any directorships on the Board of other public listed companies in Malaysia.

She does not hold any shares in the Company or its subsidiaries, has no family relationship with any Director and/or major shareholder of the Company, and has no conflict of interest with the Company and has no conviction for any offences within the past ten (10) years other than traffic offences, if any.

SEPTEMBER INCENTIVE TRIP (BEIJING)

APRIL & NOVEMBER BLOOD DONATION CAMPAIGN

JANUARY N2N BOOTCAMP (GUANGZHOU)

APRIL TCPAIR - BIG DATA WEEK EVENT

HALLOWEEN MASQUERADE NIGHT

ANNUAL DINNER

OCTOBER, 2015

MAY TCPROGLOBAL LAUNCH EVENT

SEPTEMBER ICE-CREAM DAY

JUNE AGM

DO GOOD PROJECT -
OLD NEWSPAPER RECYCLING

CORPORATE GOVERNANCE STATEMENT

THE CODE

The Board of Directors ("the Board") of N2N Connect Berhad ("Company") acknowledges that Corporate Governance is a form of self-regulation which is aimed at maximizing shareholders' value. The Board strives to achieve the best practices in Corporate Governance as outlined by the Malaysian Code on Corporate Governance 2012 (the "Code") in carrying out its duties and responsibilities.

The Company has adopted a number of measures to ensure effectiveness of the Board in discharging its duties and responsibilities.

THE BOARD OF DIRECTORS

The Group is led and controlled by an effective Board consisting of professionals and competent individuals of caliber with diverse backgrounds, expertise and experience in various fields such as business, technical, marketing and finance considered suitable for managing the Group's businesses. The appointment of Independent Non-Executive Directors who are not members of the management will ensure that they are free of any relationship which could interfere with the exercise of independent judgement or ability to act in the best interests of the Group ensuring that any decision of the Board is deliberated fully and objectively with regard to the long term interest of all stakeholders. The Executive Directors, representing the Management, are responsible for implementing the corporate strategies and management of day-to-day operations of the business.

The Board currently consists of nine (9) Directors, four (4) of whom are Independent Non-Executive Directors, and two (2) Non-Independent Non-Executive Directors. The Board composition is in compliant with the ACE Market Listing Requirements ("ACE LR") where at least one-third of the Board comprises of Independent Directors.

The Chairman is responsible to ensure that the Board functions properly with appropriate corporate governance practices and procedures, whilst the Managing Director is responsible for the day-to-day operations and business activities of the Group. This is to ensure a balance of power and authority. The Company is currently looking for a suitable candidate to fill the position of chairmanship arising from the retirement of the previous Chairman. In the meantime, the Managing Director or the Executive Directors have been chairing the Board Meetings.

Within the powers accorded by the Company's Articles of Association ("Articles"), the Board is charged with amongst others, the development of corporate objectives and the review and approval of corporate plans, overseeing the conduct of the Company's business, acquisitions and disposal of undertakings and properties of substantial value, major investments and financial decisions and changes to the management and control structure within the Group including key risk management, treasury, financial and operational policies and delegated authority limits.

Board Meetings

During the financial year ended 31 December 2015, five (5) Board Meetings were held. The Directors' attendance records at these Board Meetings are as follows:

Directors	Attendance at the Board Meetings held during the financial year ended 31 December 2015
Tiang Boon Hwa *(Managing Director)*	5/5
Lai Su Ping *(Non-Independent Executive Director)*	5/5
Chua Tiong Hoong *(Non-Independent Executive Director)*	5/5
Datuk Tan Boon Leng *(Independent Non-Executive Director)*	5/5
Goh Fuqiang, Kenneth *(Independent Non-Executive Director)*	5/5
Akio Furuse *(Non-Independent Non-Executive Director)*	5/5
Tetsuya Iguchi *(Non-Independent Non-Executive Director)*	5/5
Oh Kim Sun *(appointed on 08.10.2015)* *(Independent Non-Executive Director)*	0/1
Elaine Foong Sooi Jade (*appointed on 15.03.2016)* *(Independent Non-Executive Director)*	N/A
Dato' Chew Kong Seng @ Chew Kong Huat *(passed away on 17.07.2015)* *(Independent Non-Executive Director)*	3/3

The vacancy in the audit committee arising from the demise of the late Dato' Chew Kong Seng was filled with the appointment of Mr Oh Kim Sun to the Board and Audit Committee on 8 October 2015. Due to pre-scheduled commitments made prior to his appointment as Director of the Company, Mr Oh Kim Sun was not able to attend the Board Meeting held on 19 November 2015.

Directors' Training and Continuing Education Program

The Board is constantly encouraged to attend programmes and seminars to keep abreast with the latest development in the industry and market place.

All members of the Board, except for Ms Elaine Foong who was appointed on 15 March 2016, have attended the Mandatory Accreditation Programme prescribed by Bursa Securities. Apart from attending various conferences and seminars organized by external organizers, the Board also benefited from technical briefings which were conducted by in-house professionals. The following seminars, trainings, forums and conferences were attended by the Directors for the financial year ended 31 December 2015 for continuous professional development:

Tiang Boon Hwa	- MSC Score and Acceleration and IAOP Malaysia Chapter - Masters of Success - Matryzel Solution Selling Workshop - ISO27001 : Policies and Procedures – roll out training - Japanese Lessons for beginners - Talk on Security Threats - PanPages Digital SME day 2015 - A Successful Coaching Program to build scalable, successful companies - The Inside Story of the Annual Report : What Directors must know - ICT Leadership Summit 2015 - Mdec Silicon Valley Experiental Mission - ICMAC 2015
Lai Su Ping	- Masters of Success - ISO27001 : Policies and Procedures – roll out training - Japanese Lessons for beginners - PanPages Digital SME day 2015 - A Successful Coaching Program to build scalable, successful companies - The Inside Story of the Annual Report : What Directors must know - ICT Leadership Summit 2015 - Mdec Silicon Valley Experiental Mission - ICMAC 2015
Chua Tiong Hoong	- Cyber Security Conference - HP Servers Conference - Bursa Surveillance requirements and discussion
Datuk Tan Boon Leng	- Strategic Risk for PLC Directors
Goh Fuqiang, Kenneth	- Credit Suisse Megatrends Conference
Akio Furuse	- Foreign Investors' Perspective - Opportunities and Challenges of investing in Vietnam Securities Market, hosted by Ho Chi Minh Stock Exchange
Tetsuya Iguchi	- The 17th Nikkei Global Management Forum "Resilient Leadership – Making the Next Leap Forward"
Oh Kim Sun	- Market Outlook Seminar - Credit Suisse - Tax Information for Directors - CCM Berhad - Audit Committee Conference 2015 - Ethics Red Flags For Board of Directors - Bursatra Sdn Bhd - Khazanah Megatrends Forum 2015 – Harnessing Creative Disruption

The Board will continue to identify other training programs that can further enhance their knowledge in the latest development relevant to the Group to enable them to discharge their responsibilities effectively.

Re-Election of Directors

In accordance with the Company's Articles of Association, at least one-third of the Board, including the Managing Director, shall retire and is subject to re-election and each Director shall stand for re-election at least once every three (3) years.

None of the Independent Directors have served for a cumulative term of 9 years as at the date of this report.

Board Effectiveness Assessment

An assessment of the effectiveness of the Independent Directors, Executive Directors, Board Committees and the Board as a whole, is carried out annually. The objective is to improve the Board's effectiveness by identifying gaps, maximize strengths and address weaknesses. The Chairman of the Nomination Committee oversees the overall evaluation process, and the responses are analysed by the Nomination Committee before being tabled and discussed at the Board level. Further details on the assessment of the Board of Directors are disclosed in the Nomination Committee Statement.

Directors' Remuneration

(i) Executive Directors

The Company's policy on remuneration for the Executive Directors remains similar to previous years to ensure that the level of remuneration is generally set to attract, retain and motivate Executive Directors to competently manage the Company. The component of the remuneration are therefore structured to link the remuneration package with corporate and individual performance of the same industry.

The Remuneration Committee reviews and recommends the remuneration package of the Executive Directors for the Board's approval and it is the responsibility of the Board as a whole to approve the total remuneration package of the Executive Directors, giving due consideration to laws and corporate governance principles. The current remuneration policy of the Executive Director consists of basic salary, performance-linked bonus, benefits-in-kind, EPF contributions and share awards/share options respectively based on the recommendation of the Remuneration Committee.

(ii) Non-Executive Directors

The Company's Non-Executive Directors are remunerated with fees in accordance with the experience, expertise and level of responsibilities undertaken by the Non-Executive Directors concerned based on industry standards. Non-Executive Directors are not entitled to share options, performance based pay or bonuses, in order to maintain their independence and impartiality. The remuneration of all Directors is decided by the Board collectively after a review by the Remuneration Committee. Individual Directors do not participate in decisions regarding his/her remuneration package.

Appointments to the Board

The selection, nomination and appointment of suitable candidates to the Board of N2N follow a transparent process.

Review of candidates for Board appointment is delegated to the Nomination Committee. In conducting this review, the Nomination Committee will carry out the following processes in assessing the existing composition of the Board and its collective strength vis-à-vis the candidate's skillsets, expertise, experience as well as the integrity, existing commitments and potential conflict of interests:

i. Identify Gaps/Vacancy
ii. Identification of Candidates
iii. Evaluation of Suitability of Candidates
iv. Interview Shortlisted Candidates
v. Final Deliberation by Nomination Committee
vi. Recommendation to the Board for appointment

The appointment of Mr Oh Kim Sun and Ms Elaine Foong, being the latest appointments to the N2N Board, followed this process. In deliberating their appointments, considerable discussions took place on their experience and abilities, particularly in respect of their commitments, taking into consideration their current employments. The Board was of the view that both Mr Oh and Ms Foong would be able to discharge their duties as members of the N2N Board despite their existing commitments.

Protocols for accepting new directorships and time commitment

The Company obtains a letter from the Directors outlining their time commitment in carrying out their responsibilities.

Before acceptance of any new directorship in other public listed companies, a notification must be given by the Director(s) to the Chairman of the Board to firstly ensure that sufficient time will be allocated to the Company for him/her to perform his/her roles and responsibilities, and secondly to consider if there is any potential conflict of interests arising out of the acceptance of the new directorship.

SUPPLY OF INFORMATION

The Directors will be provided with all relevant information in sufficient time, prior to the date of scheduled Board Meetings. Information provided to the Directors will ease their decision making process and discharge of their duties. In addition, all board members are able to seek professional advice when necessary in furtherance of their duties.

The Directors are also regularly updated by the Company Secretaries on new statutory and regulatory requirements concerning their duties and responsibilities as and when necessary. All Directors have direct access to the advice and services of the Company Secretaries who ensure that all appointments are properly made and that all necessary information is obtained from the Directors in order to ensure compliance with ACE LR and other regulatory requirements.

STRATEGIES PROMOTING SUSTAINABILITY

The Board promotes and applies good Corporate Governance in its sustainability practices recognising that the benefits would translate into better corporate performance. A detailed report on sustainability activities, demonstrating the Company's commitment to the environment, social, governance and sustainability agenda, is presented in the Corporate Social Responsibility Statement of this Annual Report.

BOARD CHARTER

The Board Charter has been approved by the Directors and is posted on the Company's website. This Board Charter includes the division of responsibilities and powers between the Board and Management as well as the different committees established by the Board.

CODE OF CONDUCT

The Code of Conduct ("COC") has been approved by the Directors and is posted on the Company's website. The Board recognises the importance to promote and reinforce ethical standards throughout the Group. The Company will continuously support, promote and ensure compliance to the COC. The COC willl not only apply to every employee of the Group, but also to every Director (executive and non-executive). Furthermore, the Company will strive to ensure our consultants, agents, partners, representatives and others performing work or services for or on behalf of the Company comply with the COC.

BOARD COMMITTEES

The Board has established the following committees:

(i) Nomination Committee

The Nomination Committee is established to act as a Committee of the Board to oversee the appointment of new Board and Board Committee members as well as to assist the Board in reviewing on an annual basis the appropriate balance and size of the Board, its effectiveness as a whole, the performance of Board Committee and contribution of each Director.

Further details on the Nomination Committee is disclosed in the Nomination Committee Statement on page 34 to 36 of this Annual Report.

(ii) Remuneration Committee

The Remuneration Committee acts as a Committee of the full Board to assist in assessing the remuneration of the Directors reflecting the responsibility and commitment undertaken by the Board membership.

This Committee is chaired by Ybhg Datuk Tan Boon Leng and the other members include Mr Goh Fuqiang, Kenneth and Mr Akio Furuse.

In general, the Remuneration Committee shall not have delegated powers from the Board to implement its recommendations but shall be obliged to report its recommendations to the full Board for consideration and implementation.

In carrying out its duties and responsibilities, the Remuneration Committee has:

(a) full, free and unrestricted access to any information, records, properties and personnel of the N2N Group; and

(b) the power to obtain independent professional advice and expertise necessary for the performance of its duties.

All members of the Remuneration Committee have access to the advice and services of the Company Secretary and Head of Human Resources.

The Remuneration Committee meets as and when necessary and may decide by way of circular resolutions. The Remuneration Committee held one (1) meeting during the financial year ended 31 December 2015 with full attendance.

(iii) Option Committee

The Company obtained approvals from the shareholders at a general meeting on 13 October 2005 and 18 October 2005 to establish the Employees Share Option Scheme ("ESOS"). An Option Committee was set up to administer the ESOS in accordance with the By-Laws. Pursuant to the Board's approval on 24 August 2010, the tenure of the ESOS was extended for a further 5 years and had expired on 22 December 2015.

This Committee was chaired by Mr Chua Tiong Hoong and the other members include Mr Akio Furuse and Mr Tetsuya Iguchi.

(iv) Audit Committee

The Audit Committee is established by the Board to oversee audit and financial reporting compliance matters of the Group. The Board has presented its Audit Committee Report on page 29 to 33 of this Annual Report providing greater details of the activities undertaken by the Audit Committee during the financial year.

DIRECTORS' REMUNERATION

Details of the remuneration of Directors for the financial year are as follows:

(i) Aggregate remuneration of Directors categorised into appropriate components:

	Executive RM	Non-Executive RM
Fees	126,000	103,500
Salaries and other emoluments	3,152,502	-
Total	3,278,502	103,500

(ii) Number of Directors whose remuneration falls into the following bands:

	No. of Directors	
Remuneration Band	**Executive**	**Non-Executive**
RM1,001 – RM50,000	-	4
RM350,001 – RM400,000	2	-
Above RM1,000,001	1	-
Total number of directors	3	4

SHAREHOLDERS COMMUNICATION AND INVESTORS RELATIONS POLICY

Dialogue between the Company and Investors

The Company recognises the importance of being accountable to its shareholders and investors through maintenance of an open communication policy. In ensuring effective communication, the Company communicates with its shareholders and investors through various means and forums such as the annual report, company visits, site visits, shareholders' meetings, exhibition and other Group activities.

Any information that may be regarded as undisclosed material information about the Group will not be given to any single shareholder or shareholder group. To ensure that shareholders and investors are well informed of major developments of the Group, information is disseminated to shareholders and investors through various disclosures and announcements to Bursa Securities which include quarterly financial results and press release from media. Such disclosures and announcements, as well as information pertaining to corporate governance are also available on the Company's website: www.n2nconnect.com.

At each Annual/Extraordinary General Meeting, Executive Directors and, where appropriate, the Chairman is available to respond to shareholders' questions during the meeting.

Annual General Meeting

Notice of the Annual General Meeting and Annual Reports are sent out to shareholders at least 21 days before the date of the meeting.

Besides the normal agenda for Annual General Meeting, the Board also provides opportunities for shareholders to raise questions pertaining to the business activities of the Group. All Directors are available to provide responses to shareholders' questions during these meetings.

Shareholders are advised that they have right to demand for a poll at each general meeting.

ACCOUNTABILITY AND AUDIT

Financial Reporting

The Board takes responsibility for presenting a balanced and meaningful assessment of the Group's operations and prospects each time it releases its quarterly and annual financial results. The Board is assisted by the Audit Committee to oversee the Group's financial reporting processes and the quality of its financial reporting. The Statement by Directors pursuant to Section 169(15) of the Companies Act, 1965 is set out on page 48 of this Annual Report.

Directors' Responsibility in Financial Reporting

In preparing the financial statements of the Group for the financial year ended 31 December 2015, the Directors have:

- Adopted suitable accounting policies and then apply them consistently;
- Made judgments and estimates that are reasonable and prudent;
- Ensured compliance with applicable accounting standards;
- Prepared financial statements on the going concern basis unless otherwise stated; and
- Ensured proper maintenance of accounting records, disclosing reasonable accuracy in the financial position of the Group.

The Directors are also responsible for safeguarding the assets of the Group and taking reasonable steps to ensure that appropriate system are in place to safeguard the assets of the Group and to prevent and detect fraud and other irregularities.

Risk Management and Internal Control

The Board of Directors is responsible to maintain a sound system of risk management and internal controls in order to safeguard shareholders' investment and the Group's assets. The main elements of this system are designed to manage rather than eliminate the risk of failure to achieve business objectives and can only provide reasonable and not absolute assurance against material misstatement or loss. Further details of the Group's risk management and internal control systems are elaborated under the Statement on Risk Management and Internal Control by the Directors as set out on page 25 to 28 of this Annual Report.

Relationship with the Auditors

The Board, through the Audit Committee, maintains a transparent and formal relationship in the appointment and resignation of the external auditors and reviews the external auditors' plan, report and procedures and the assistance given by the Group's employees to the external auditors.

The Audit Committee undertakes an annual assessment of the suitability and independence of the external auditors. The Audit Committee meets with the external auditors at least twice a year to discuss their audit plan, audit findings and the Company's financial statements. At least one of these meetings is held without the presence of the Executive Directors and the Management.

In addition, the external auditors are invited to attend the Annual General Meeting of the Company and are available to answer shareholders' questions on the conduct of the statutory audit and the preparation and contents of their audit report.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

1. INTRODUCTION

The Board of Directors ("Board") of N2N Connect Berhad recognises the importance of good corporate governance practices and is committed to maintaining a sound risk management and internal control system to safeguard shareholders' investment and the Group's assets. The Board is pleased to set out below the Board's Statement on Risk Management and Internal Control ("Statement") which is prepared in accordance with Rule 15.26(b) of the ACE Market Listing Requirements, Malaysian Code on Corporate Governance 2012 and as guided by the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers ("Guidelines"). This Statement outlines the nature and scope of risk management and internal control of the Group. The Group does not have material associates and joint ventures that need to be dealt with and considered in making this Statement.

2. BOARD RESPONSIBILITY

The Board affirms its overall responsibility for the Group's system of internal control and for reviewing the adequacy and integrity of the system. It should also be appreciated that the whole system of internal control is designed to manage and control risks appropriately rather than a definitive system designed for the total avoidance of risks or for eliminating the risk of failure. The systems of risk management and internal control covers not only financial control but also operational, commercial and compliance controls. The Board believes that this is a continuing process and more importantly, a concerted effort by all employees of the Group. As part of its review, the Board will continue taking necessary measures to strengthen its risk management and internal control systems to address any weaknesses identified. These processes are in place throughout the financial year under review and up to the date of approval of this Annual Report.

3. RISK MANAGEMENT FRAMEWORK

Management is an integral and critical part of risk management in the operations of the Group. The experience, knowledge and expertise of management in identifying and managing risks throughout the financial year under review enables the Group to make cautious, mindful and well-informed decisions through formulation and implementation of requisite action plans and monitoring regime which are imperative in ensuring the accomplishment of the Group's objectives. Day to day operations in respect of financial, commercial, legal compliance and operational aspects of the Group are closely monitored by the respective Heads of Department and they are delegated with the responsibilities to identify and manage these risks within defined parameters and standards. The deliberation of risks and mitigation responses are discussed at periodic management meetings. The Company has commenced its process of establishing an Enterprise-Wide Risk Management Program ("ERM") to enhance current management process in risk management. The key features of ERM framework are as follows:

- It defines the risk management policy of the Group covering the formal processes for risk identification, assessment, measurement, mitigation as well as the Group's risk appetite and oversight responsibilities of the Board;

- It outlines the ERM methodology on the identification of key business risks through a structured approach and to determine if controls are in place in mitigating the risks identified; and

- It establishes guidelines to enable Management to prioritise the risks and allocation of resources to manage the risks. The management of risks is an on-going process to identify, evaluate and manage the significant risks faced by the Group. The Board shall re-evaluate the existing risk management practices, and where appropriate and necessary, revise such practices accordingly.

4. KEY INTERNAL CONTROL ELEMENTS

The key elements of the Group's Internal Control System includes:

- Clearly defined terms of reference, authorities and responsibilities of the various committees which includes the Audit Committee, Nomination Committee and Remuneration Committee;
- Well defined organisational structure with clear lines of authority, accountability and responsibilities of the Management team;
- The Group's performance is monitored regularly and the business objectives and plans are reviewed in the management meetings attended by division and business unit heads. The Managing Director and Executive Directors meet regularly with Senior Management to consider the Group's financial performance, business initiatives and other management and corporate issues;
- Management reports and accounts generated in respect of the business and operating units that enable proper review of the operations and financials. These reports and accounts are prepared timely and on a monthly basis and is reviewed by the Managing Director, Executive Directors and Senior Management;
- The Managing Director, Business Operations Director and Senior Management are closely involved in the running of business and operations of the Group. They report to the Board on significant changes in the business and external environment which may affect the operations of the Group at large;
- The Board meets at least quarterly and has a formal agenda on matters for discussion. Board papers are distributed in advance to all Board members who are entitled to receive and access all necessary and relevant information. Decisions of the Board are only made after the required information is made available and deliberated on by the Board. The Board maintains complete and effective control over the strategies and direction of the Group;
- Review of all proposals for material capital and investment opportunities by the Executive Directors and approval for the same by the Board;
- Review by the Audit Committee of internal control issues identified by the external and internal auditors and action taken by Management in respect of the findings arising therefrom;
- The presence of the Internal Audit function reporting directly to the Audit Committee. Findings are communicated to Management and the Audit Committee with recommendations for improvements and follow-up to confirm all agreed recommendations are implemented. The Internal Audit plan is developed based on a risk based approach and is reviewed and approved by the Audit Committee; and
- The professionalism and competency of staff are enhanced through training and development programmes. A performance management system is in place with established key performance indicators to measure and review staff performance on an annual basis.

5. INTERNAL AUDIT

The Company has outsourced its internal audit function to a professional consulting firm. The Internal Auditors report independently and directly to the Audit Committee in respect of its function in accordance with the approved internal audit plan. All audit findings arising therefrom are reported to the Audit Committee on a periodic basis.

5. INTERNAL AUDIT *cont'd*

The Internal Auditors has complete and unrestricted access to all documents and records of the Group necessary in the performance of its function and independently reviews the control procedures implemented by Management for the key activities of the Group. In addition, the Internal Auditors carry out periodic assignments to ascertain if the policies and procedures established by the Board are complied with by Management.

All reports and findings arising from internal audit reviews are discussed with the respective process custodians prior to presentation of a formal report to the Audit Committee. The internal auditors also provide improvement recommendations for the consideration of Management and the Board as part of the continuous development of a more efficient and comprehensive internal control environment.

Towards the end of the financial year, the Audit Committee has initiated a review on the existing internal audit function and at the same time invited other service providers to provide their service proposal for consideration. In conducting this review, the Audit Committee has assessed the credentials, capabilities, independence as well as the cost of the service providers, vis-à-vis the current internal audit function.

Based on this review, the Audit Committee had decided to appoint a new internal audit firm, IA Essential Sdn. Bhd., to assume the role of the Internal Audit function in the Group. Upon the appointment, the new Internal Auditors have commissioned a study and developed a two-year audit plan. This proposed internal audit plan was presented to the Audit Committee for deliberation and approval.

The status of the assessment and review of the internal audit function as mentioned above has been tabled and reported to the Directors at the Board of Directors' Meeting held on 19 November 2015 and 22 February 2016, respectively.

The total cost incurred on internal audit for the financial year ended 31 December 2015 was RM12,500. The budgeted fee for internal audit in 2016 is estimated at RM38,000.

6. ASSURANCE FROM MANAGEMENT

The Board has also received reasonable assurance from the Managing Director, who is also the Director responsible for the financial management of the Company, that the Group's risk management and internal control system are operating adequately and effectively, in all material aspects.

7. REVIEW BY EXTERNAL AUDITORS

Pursuant to Rule 15.23 of the ACE Market Listing Requirements, the External Auditors have reviewed the Statement on Risk Management and Internal Control for inclusion in the Annual Report for the financial year ended 31 December 2015. Their review was performed in accordance with Recommended Practice Guide 5 (Revised 2015): Guidance for Auditors on Engagements to Report on the Statement on Risk Management and Internal Control included in the Annual Report, issued by the Malaysian Institute of Accountants. The External Auditors have reported to the Board that nothing has come to their attention that causes them to believe that this Statement is not prepared, in all material respects, in accordance with the disclosures required by paragraph 41 and 42 of the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers to be set out, nor is factually inaccurate.

8. CONCLUSION

For the year under review, the Board is of the view that the systems of risk management and internal control are adequate and effective. There were no material weakness and/or reported shortfall in the risk management practices and internal control system which have resulted and/or given rise to any material loss, contingency and/or uncertainty during the financial year under review and up to the date of approval of this statement. Nevertheless, the Board also recognises the fact that the Group's systems of risk management and internal control must continuously evolve to support the growth and dynamics of the Group as well as to meet the changing and challenging business environment. As such, the Board, in striving for continuous improvement, will put in place appropriate action plans to further enhance the system of internal controls and risk management practices.

This Statement was approved by the Board on 31 March 2016.

AUDIT COMMITTEE REPORT

The Board of Directors of N2N Connect Berhad is pleased to present the report of the Audit Committee for the financial year ended 31 December 2015.

MEMBERS AND MEETINGS

The Members of the Audit Committee comprises the following directors.

	Composition of the Audit Committee	Attendance at the Committee Meetings held during the financial year ended 31 December 2015
Chairman	Oh Kim Sun *(appointed on 08.10.2015)* *(Independent Non-Executive Director)*	1/2
Member	Datuk Tan Boon Leng *(Independent Non-Executive Director)*	5/6
Member	Goh Fuqiang, Kenneth *(Independent Non-Executive Director)*	6/6
Former Chairman	Dato' Chew Kong Seng @ Chew Kong Huat *(passed away on 17.07.2015)* *(Independent Non-Executive Director)*	3/3

TERMS OF REFERENCE OF THE AUDIT COMMITTEE

COMPOSITION

(1) The company must appoint an audit committee from amongst its directors which fulfils the following requirements:-

(a) the Committee must be composed of no fewer than 3 members;
(b) all the Committee members must be non-executive directors, with majority of them being independent;
(c) at least one member of the Committee:-

(i) must be a member of the Malaysian Institute of Accountants; or
(ii) if he is not a member of the Malaysian Institute of Accountants, he must have at least 3 years working experience and:-

- he must have passed the examinations specified in Part I of the 1st Schedule of the Accountants Act 1967; or
- he must be a member of one of the associations of accountants specified in Part II of the 1st Schedule of the Accountants Act 1967.

(iii) fulfills such other requirements as prescribed or approved by the Exchange.

(2) No alternate Director shall be appointed as a member of the Committee.

(3) The members of the Committee shall elect a Chairman from among their member who shall be an independent director.

(4) In the event of any vacancy in the Committee resulting in the non-compliance of subparagraph 15.09(1) of the ACE LR, the Board of Directors shall, within three (3) months of that event, appoint such number of new members as may be required to make up the minimum number of three (3) members.

QUORUM

The quorum of the Committee shall be two (2) of whom the majority of members present shall be independent Directors.

ATTENDANCE AND MEETINGS

The Committee may invite any member of the management, employees, other Directors and representatives of the internal and external auditors to be present at meetings of the Committee.

The Committee shall meet at least four (4) times a year and such additional meetings as the Chairman shall decide in order to fulfill its duties. In addition, the Chairman may call a meeting of the Committee if a request is made by any Committee member, the Company's Managing Director, or the internal or external auditors.

FUNCTIONS

The Committee shall, amongst others, discharge the following functions:-

(1) review the following and report the same to the Board of Directors:

(a) with the external auditor, the audit plan;
(b) with the external auditor, his evaluation of the system of internal controls;
(c) with the external auditor, his audit report;
(d) the assistance given by the employees of the Company to the external auditor;
(e) the adequacy of the scope, functions, competency and resources of the internal audit functions and that it has the necessary authority to carry out its work;
(f) the internal audit programme, processes, the results of the internal audit programme, processes or investigation undertaken and whether or not appropriate action is taken on the recommendations of the internal audit function;
(g) review the risk management framework, processes and responsibilities and assess whether they provide reasonable assurance that risks are managed within tolerable ranges;
(h) the quarterly results and year end financial statements, prior to the approval by the Board of Directors, focusing particularly on:-

(i) changes in or implementation of major accounting policy changes;
(ii) significant and unusual events; and
(iii) compliance with accounting standards and other legal requirements;

(i) any related party transaction and conflict of interest situation that may arise within the Company or Group including any transaction, procedure or course of conduct that raises questions of management integrity;
(j) any letter of resignation from the external auditors of the Company; and
(k) whether there is reason (supported by grounds) to believe that the Company's external auditor is not suitable for re-appointment.

(2) recommend the nomination of a person or persons as external auditors.

PROCEDURE

The Committee may regulate its own procedure, in particular:-

(a) the calling of meetings;
(b) the notice to be given of such meetings;
(c) the voting and proceedings of such meetings;
(d) the keeping of minutes; and
(e) the custody, production and inspection of such minutes.

AUDIT COMMITTEE REPORT

(1) The Committee shall ensure that an Audit Committee Report be prepared at the end of each financial year that complies with sub-Rules (2) and (3) below.

(2) The Committee report must be clearly set out in the annual report of the Company.

(3) The Committee report shall include the following:-

(a) the composition of the Committee, including the name, designation (indicating the chairman) and directorship of the members (indicating whether the directors are independent or otherwise);
(b) the terms of reference of the Committee;
(c) the number of Committee meetings held during the financial year and details of attendance of each Committee member;
(d) a summary of the activities of the Committee in the discharge of its functions and duties for that financial year of the Company ; and
(e) a summary of the activities of the internal audit function or activity.

RIGHTS OF THE AUDIT COMMITTEE

The Committee shall, wherever necessary and reasonable for the performance of its duties in accordance with a procedure to be determined by the Board of Directors and at the cost of the Company:-

(a) have authority to investigate any matter within its terms of reference;
(b) have the resources which are required to perform its duties;
(c) have full and unrestricted access to any information pertaining to the Company;
(d) have direct communication channels with the external auditors and person(s) carrying out the internal audit function or activity;
(e) be able to obtain independent professional or other advice; and
(f) be able to convene meetings with the external auditors, the internal auditors or both, excluding the attendance of other directors and employees of the Company, whenever deemed necessary.

REPORTING OF BREACHES TO BURSA SECURITIES

Where the Committee is of the view that a matter reported by it to the Board of Directors of the Company has not been satisfactorily resolved resulting in a breach of the ACE LR, the Committee shall promptly report such matter to Bursa Securities.

REVIEW OF THE AUDIT COMMITTEE

The Board of Directors must review the term of office and performance of the Committee and each of its members at least once every 3 years to determine whether the Committee and members have carried out their duties in accordance with their terms of reference.

The Board had issued the relevant performance evaluation forms for the Directors for their feedback/comments on the Audit Committee and its members. Based on the performance evaluation conducted, the Board members were satisfied with the performances of the Audit Committee and its Members.

SECRETARY

The Secretary to the Committee shall be the company secretary.

SUMMARY OF ACTIVITIES OF THE AUDIT COMMITTEE

The Audit Committee had undertaken the following activities during the financial year ended 31 December 2015:

(i) Reviewed the unaudited quarterly financial results and announcements, including the analysis of performance for each quarter presented by Management;

(ii) Reviewed the draft audited financial statements for the financial year ended 31 December 2014 and its compliance to the financial reporting standards, and discussed with the external auditors in relation to audit issues, audit reports, assistance provided by the management, and management letter;

(iii) Reviewed the related party transactions arising within the Company and/or the Group;

(iv) Reviewed the Statement on Allocation of Options Under the Employees Share Options Scheme ("ESOS") – the Company's ESOS expired on 22 December 2015;

(v) Reviewed the Statement on Risk Management and Internal Control and Audit Committee Report for inclusion in the Annual Report 2014;

(vi) Recommended to the Board the re-appointment of the external auditors (considered criteria such as caliber, qualification, audit team, independence and audit scope) for the financial year ended 31 December 2015 and their audit fees;

(vii) Considered and approved the External Auditors' Audit Planning Memorandum for the financial year ended 31 December 2015; and

(viii) Reviewed the Internal Audit Report on the critical operational areas of the Group.

INTERNAL AUDIT FUNCTION

The internal audit reviews were undertaken to provide independent assessments on the adequacy, efficiency and effectiveness of the Group's internal control systems. The Audit Committee has full and direct access to the Internal Auditors, reviews the audit reports and directs Management for the necessary corrective actions and process improvements.

For the financial year ended 31 December 2015, the Group outsourced its internal audit function to an external independent party, Smart Focus (M) Sdn Bhd. The Internal Auditors had reviewed the internal control systems of the Company according to the risk-based internal audit plan which had been approved by the Audit Committee. The key areas covered were as follows:

- Accounts and Finance
- Information Technology
- Safety
- Human Resources
- Building Management

The costs incurred for this internal audit function was RM12,500.

For the new financial year 2016, the Audit Committee has appointed a new internal audit firm, IA Essential Sdn Bhd to assume the role of the Group's internal audit function.

ESOS

During the financial year, no allocation of share options was made by the Company pursuant to the ESOS and no share options was offered to and exercised by non-executive directors under the ESOS.

The Company's ESOS expired on 22 December 2015.

NOMINATION COMMITTEE STATEMENT

The Board of Directors of N2N Connect Berhad is pleased to present the Nomination Committee ("the Committee") Statement for the financial year ended 31 December 2015.

The Committee was established to act as a Committee of the Board to oversee the appointment of new Board and Board Committee members, as well as to assist the Board in reviewing on an annual basis the appropriate balance and size of the Board, its effectiveness as a whole, the performance of Board Committee and contribution of each Director.

The Committee met once during the financial year under review and the attendance record is as follows:-

	Composition of the Nomination Committee	Attendance at the Committee Meetings held during the financial year ended 31 December 2015
Chairman	Goh Fuqiang, Kenneth *(Independent Non-Executive Director)*	1/1
Member	Datuk Tan Boon Leng *(Independent Non-Executive Director)*	1/1
Member	Tetsuya Iguchi *(Non-Independent Non-Executive Director)*	1/1

COMPOSITION

The Committee and its Chairman shall be appointed by the Board from amongst its number and shall comprise not less than two (2) members, consisting exclusively of non-executive directors, a majority of whom are independent.

ATTENDANCE OF MEETINGS

(a) A quorum shall consist of two of the members. In the absence of the Chairman, the members present shall elect a Chairman for the meeting from amongst the members present.
(b) The Committee Members may participate in a meeting by means of conference telephone, conference videophone or any similar or other communications equipment by means of which all persons participating in the meeting can hear each other. Such participation in a meeting shall constitute his/her presence in person at such meeting. Minutes of such a meeting signed by the Chairman of the Committee shall be conclusive evidence of any resolution of any meeting conducted in the manner as aforesaid.
(c) The Company Secretary shall be the Secretary of the Committee or in his/her absence, another person authorised by the Chairman of the Committee.

FREQUENCY OF MEETINGS

(a) Meetings shall be held at least once a year, or more frequently if circumstances require the Committee to do so.
(b) The Committee meets as and when necessary and may decide by way of circular resolutions.

AUTHORITY

(a) The Committee has full access to any information pertaining to the Company and Group and unrestricted access to the officers and employees of the Company and Group.
(b) The Committee may with the approval of the Board, obtain independent professional or other advice in the performance of its duties.

DUTIES AND RESPONSIBILITIES

The Committee shall have the following duties and responsibilities, in addition to any others that may be assigned by the Board from time to time:

(a) Review the required mix of skills, experience and other qualities, including core competencies which Directors should bring to the Board;
(b) Recommend to the Board, candidates for all directorship to be filled;
(c) Recommend to the Board, the candidates to fill the seats on Board Committees;
(d) Assess the effectiveness of the Board as a whole, the Committees of the Board, and the contributions of each individual Director; and
(e) Review the size of the Board with a view to determining the impact of the number upon its effectiveness.

The Committee's focus is on strengthening, balancing and understanding the range of skills, experience and diversity of the Board and key roles below Board level. The Committee is responsible for making recommendations to the Board on the composition of the Board and its Committees, on retirements, appointments of additional and replacement directors and on succession planning.

POLICY ON BOARD COMPOSITION

The policy on the Board's composition is disclosed in the Board Charter.

The Board does not have any gender diversity policies and targets or any set measures to meet any target. Nevertheless, the Group is an equal opportunity employer and all appointments and employments are based strictly on merits and are not driven by any racial or gender bias.

BOARD NOMINATION AND ELECTION PROCESS

The key steps in the process are as follows:

- The Committee considers the knowledge and experience required for the role, taking into account the strategy of the Group and its businesses as well as the criteria set by the Board.

- The Committee evaluates the potential candidates based on the identified requirements.

- The Committee recommends the shortlisted candidate for the Board's approval.

For the financial year ended 31 December 2015, the Committee had considered candidates for the vacancy in the board arising from the demise of Dato' Chew Kong Seng and had recommended the Board to appoint Mr Oh Kim Sun as a board member based on the Committee's assessment of his experience, qualification and character.

ASSESSMENT

For the financial year ended 31 December 2015, the Committee had reviewed the results of the assessment of the Board as a whole and of each individual Director. The result of the assessment was used as a guide to evaluate and review the composition and effectiveness of the Independent Directors, Executive Directors and Board Committee Members. The assessment of the Board and Directors were based on the following criteria:

Individual Director:

- Understanding of role and responsibility
- Time commitment and dedication
- Understanding of the Group's business
- Contribution and participation in board discussion and decision-making
- Courtesy
- Self development
- Independence

Board as a whole:

- Board structure
- Conduct of meetings
- Corporate strategy and planning
- Risk management and internal control
- Performance measurement and monitoring
- Recruitment and evaluation
- Compensation
- Financial reporting
- Shareholder communication

ASSESSMENT OF TRAINING NEEDS

The Committee has reviewed and assessed the trainings attended by the Directors for the financial year ended 31 December 2015 and have determined that the trainings attended were adequate. The Directors have also indicated their preferred training topics for the year ending 31 December 2016.

ADDITIONAL COMPLIANCE INFORMATION

SHARE BUY-BACK AND RESALE

During the financial year ended 31 December 2015, the Company purchased a total of 1,260,900 ordinary shares of RM0.10 each of the issued share capital from the open market at an average price of RM0.81 per share. The total consideration for the share buy-back including transaction cost was RM1,023,521 and was financed by internally generated funds. The Company also resold a total of 8,641,400 ordinary shares of RM0.10 each of the treasury shares to the open market at an average price of RM0.99 per share. There were no treasury shares as at 31 December 2015.

Information on the shares purchased/sold by the Company during the financial year ended 31 December 2015 are as follows:

Monthly Breakdown	No. of shares purchased/ (resold)	Purchase/(Resale) Price Per Share (RM) Lowest	Highest	Average Cost Per Share (RM)	Total Consideration (RM)
January 2015	175,600	0.830	0.860	0.852	149,575.00
February 2015	3,500	0.840	0.840	0.840	2,940.00
March 2015	304,000	0.835	0.870	0.845	256,905.00
April 2015	205,000	0.820	0.845	0.830	170,215.00
May 2015	111,700	0.810	0.860	0.822	91,772.00
June 2015	172,500	0.780	0.836	0.794	136,948.60
July 2015	110,600	0.720	0.810	0.771	85,309.00
August 2015	178,000	0.680	0.740	0.712	126,760.00
December 2015	(8,641,400)	0.980	1.000	0.992	(8,553,950.00)

There were no shares cancelled during the financial year ended 31 December 2015.

OPTIONS, WARRANTS AND CONVERTIBLE SECURITIES

During the financial year, a total of 1,195,400 Warrants were exercised. As at 31 December 2015, there was a total of 82,692,035 unexercised Warrants.

The status of utilisation of the gross proceeds raised from the Rights Issue of Warrants of RM1.998 million as at 31 December 2015 is as follows:

Purpose	Proposed to be utilised RM'000	Actual utilisation as at 31 December 2015 RM'000	Intended timeframe for utilisation from date of listing of the Warrants	Unutilised RM'000
Working capital	1,548	1,548	Within two (2) years	-
Estimated expenses for the Rights Issue of Warrants	450	450	Within one (1) month	-
	1,998	1,998		-

Other than the above, there are no other options, warrants or convertible securities issued by the Company during the financial year in review.

AMERICAN DEPOSITORY RECEIPT ("ADR") OR GLOBAL DEPOSITORY RECEIPT ("GDR")

During the financial year in review, the Company did not sponsor any ADR or GDR programme.

SANCTIONS OR PENALTIES

There were no sanctions or penalties imposed on the Group, directors or management by the relevant regulatory bodies during the financial year in review.

NON-AUDIT FEES

There is a non-audit fee of RM5,000 paid to the external auditors by the Group during the financial year in review.

VARIATION IN RESULTS

There was no significant variation between the financial results in the Annual Audited Financial Statements 2015 and the unaudited financial results for the year ended 31 December 2015 announced by the Company on 26 February 2016.

PROFIT ESTIMATES, FORECAST OR PROJECTION

The Company did not issue any profit estimates, forecast or projection for the financial year in review.

PROFIT GUARANTEE

The Company did not issue any profit guarantee during the financial year in review.

MATERIAL CONTRACT INVOLVING DIRECTORS AND SUBSTANTIAL SHAREHOLDERS

There were no material contracts involving directors and substantial shareholders during the financial year in review except for a Service Agreement dated 29 September 2004 entered into with Mr Tiang Boon Hwa ("TBH") for the appointment of TBH to act as Managing Director or in such other capacity as the Company may designate. The Company shall have the discretion to terminate TBH's employment lawfully (without notice or on notice less than that required under the Term above), by paying to TBH a sum equal to RM2,000,000 in addition to his salary and value of contractual benefits due to him in respect of that part of the period of the Term, which the Company has not given to TBH or the unexpired part of such fixed term.

REVALUATION POLICY

The Company did not revalue any of its property, plant and equipment during the financial year in review.

CORPORATE SOCIAL RESPONSIBILITY ("CSR")

The Group understands the importance of its stakeholders, i.e. shareholders, employees, customers, suppliers, and local communities, in the successfulness of Company's business. Pursuant to that, the Company will be constantly trying to balance the return of each of its stakeholders group. Above and beyond a continuous effort to maximize the wealth of its ordinary shareholders, the following actions have been conducted in Year 2015 to look into the needs of the broader stakeholder group and to take on a wider social responsibility:

Type of stakeholder	Action
Employees	Constant review on staff benefit and allowance and disseminate the decision via issuance of circulars, directives, rules & regulations or other instructions as a form of communication from management to employees. All confirmed employees are covered by Personal Accident Insurance, Group Hospitalisation Insurance and other medical benefits. Organisation of company trip, gatherings, sports activities and annual dinner for closer bonding among the Group's employees.
Customers	Continuous R&D efforts to improve quality of products.
	Involving customers in the Company's events to establish good relationship.
Suppliers	Close review on the Company's working capital management to maintain liquidity level required to repay its creditors on time.
	Involving suppliers in the Company's events to establish good relationship.
Environment and Community	N2N conducted blood donation campaigns twice in 2015 as part of our CSR initiatives. This campaign has been on-going since August 2011 and from year 2013 we turned it to a bi-annual event . The campaigns, which were held in April and November respectively at N2N office, attracted donors not only members from N2N but tenants around Bangsar South area. With the overwhelming response, it showed that from this simple action we not only creating public awareness at Bangsar South area but also help to create a Lovely community. A newly high record of donors generated in every campaign. Apart from blood donation, N2N also collaborated with Lovely Disabled Home ("the Home") on a Recycle Project which has been on-going since March 2014. This initiative is aimed to support the Home, a non-profitable and non-Governmental Organisation ("NGO") by providing a platform for its disabled occupants to work and interact. N2N staff will volunteer to collect newspapers and other recyclable items from the tenants around N2N office at Bangsar South on the last Friday of every month. The items will then be sent to the Home, which will be sorted and sold to cover the Home's day to day operation costs. With this collaboration we also create Environmental Awareness amongst the members in N2N and tenants in Bangsar South area. N2N continues to support the Home by providing venue during the blood donation campaign for them to sell their in-house socks, which create job opportunities for those with special needs. All these initiatives in line with N2N motto "LovePlayCare" as an integral part in the Company's mission to benefit the society.

FINANCIAL STATEMENTS

DIRECTORS' REPORT

The Directors have pleasure in submitting their report together with the audited financial statements of the Group and of the Company for the financial year ended 31 December 2015.

PRINCIPAL ACTIVITIES

The principal activities of the Company are investment holding, carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities and management of investment properties.

The principal activities of its subsidiary companies are disclosed in Note 5 to the financial statements.

There have been no significant changes in the nature of these activities during the financial year.

FINANCIAL RESULTS

	Group RM	Company RM
Profit for the financial year attributable to:		
- Owners of the Company	9,367,036	303,318
- Non-controlling interests	(71,045)	-
	9,295,991	303,318

DIVIDENDS

Since the end of the previous financial year, the Company paid:

(a) a first interim single tier tax exempt dividend of 1 sen per ordinary share of RM0.10 each amounting to RM4,314,476 in respect of the financial year ended 31 December 2015 on 29 September 2015;

(b) a second interim single tier tax exempt dividend of 1 sen per ordinary share of RM0.10 each amounting to RM4,646,802 in respect of the financial year ended 31 December 2015 on 31 March 2016.

The Directors do not recommend any final dividend for the current financial year ended 31 December 2015.

The financial statements for the current financial year do not reflect the effects of the second interim dividend. Such dividend, will be accounted for in equity as appropriation of retained earnings in the financial year ending 31 December 2016.

RESERVES AND PROVISIONS

There were no material transfers to or from reserves and provisions during the financial year under review other than those disclosed in the financial statements.

ISSUE OF SHARES AND DEBENTURES

During the financial year, the issued and paid-up share capital of the Company was increased from RM43,968,667 to RM46,358,917 by way of the issuance of:

(a) 3,817,300 and 18,889,800 new ordinary shares of RM0.10 each for cash pursuant to the Company's Employee Share Option Scheme at exercise price of RM0.18 per ordinary share and RM0.22 per ordinary share respectively;

(b) 1,195,400 new ordinary shares of RM0.10 each for cash pursuant to the exercise of Warrants at an exercise price of RM0.38 per ordinary share; and

The new ordinary shares issued during the financial year ranked pari passu in all respects with the existing ordinary shares of the Company.

There were no issuances of debentures by the Company during the financial year.

WARRANTS 2013/2018

On 9 April 2013, the Company issued 99,923,600 Warrants 2013/2018 ("Warrants") at an issue price of RM0.02 each pursuant to a renounceable rights issue of one warrant for every three existing ordinary shares of RM0.10 each held in the Company. During the financial year, a total of 1,195,400 Warrants were exercised. As at 31 December 2015, there was a total of 82,692,035 (2014: 83,887,435) unexercised Warrants.

The salient features of the Warrants are disclosed in Note 21(b) to the financial statements.

EMPLOYEE SHARE OPTION SCHEME

The N2N Connect Berhad ("N2N") Employee Share Option Scheme ("ESOS") was approved by shareholders at the General Meetings on 13 October 2005 and 18 October 2005. The ESOS was implemented on 23 November 2005 and has expired on 22 November 2010. Pursuant to the Board's approval on 24 August 2010, the tenure of the ESOS has been extended for a further 5 years. The ESOS had expired on 22 December 2015.

The salient features and other terms of the ESOS are disclosed in Note 28 to the financial statements.

No other options were granted to any person to take up the unissued shares of the Company during the financial year.

Details of the options granted to Directors are disclosed in the section on Directors' Interests in this report.

REPURCHASE OF SHARES

At the Tenth Annual General Meeting held on 20 June 2011, the shareholders approved the share buy-back of up to 10% or up to 29,893,900 ordinary shares of the issued and paid-up share capital of the Company. The mandate given by the shareholders at the Annual General Meeting ("AGM") held on 4 June 2015 to renew the Company's plan to repurchase its own shares will expire at the forthcoming AGM and an ordinary resolution will be tabled at the forthcoming AGM for shareholders to renew the mandate for another year.

During the duration of share buy-back, the Company had purchased/(resold) the following ordinary shares of its issued and paid-up share capital from/(to) the open market:

In the financial year	No. of ordinary shares	Average price per share	Total cost/ (proceeds)
		RM	RM
2011 Purchased	1,774,900	0.24	433,668
2012 Purchased	1,072,700	0.45	482,836
2013 Purchased	3,532,300	0.47	1,661,439
2013 Resold	(2,857,700)	0.47	(1,339,829)
2014 Purchased	3,863,300	0.83	3,226,684
2014 Resold	(5,000)	0.52	(2,354)
2015 Purchased	1,260,900	0.81	1,023,521
2015 Resold	(8,641,400)	0.99	(8,553,950)
	-		

The repurchase transactions were financed by internally generated funds. The repurchased shares are being held as treasury shares and carried at cost in accordance with the requirements of section 67A of the Companies Act, 1965. The Company has not made any share cancellation of its treasury shares during the financial year.

At 31 December 2015, the total number of treasury shares held by the Company is Nil (2014: 7,380,500) ordinary shares.

DIRECTORS

The Directors who served since the date of the last report are as follows:

Chua Tiong Hoong
Lai Su Ping
Tiang Boon Hwa
Datuk Tan Boon Leng
Goh Fuqiang, Kenneth
Akio Furuse
Tetsuya Iguchi
Oh Kim Sun *(Appointed on 8 October 2015)*
Elaine Foong Sooi Jade *(Appointed on 15 March 2016)*
Dato' Chew Kong Seng *(Demised on 17 July 2015)*

DIRECTORS' INTERESTS

According to the register of Directors' shareholdings, particulars of interests of Directors who held office at the end of the financial year in shares and options over shares in the Company are as follows:

	Number of ordinary shares of RM1.00 each			
	At 1.1.2015	Acquired	Disposed	At 31.12.2015
Interest in the Holding Company:				
N2N Connect Holdings Sdn. Bhd.				
Direct interest				
Chua Tiong Hoong	20	-	-	20
Lai Su Ping	280	-	-	280
Tiang Boon Hwa	646	-	-	646

	Number of ordinary shares of RM0.10 each			
	At 1.1.2015	Acquired	Disposed	At 31.12.2015
Interest in the Company:				
N2N Connect Berhad				
Direct interest				
Chua Tiong Hoong	1,129,354	1,900,000	-	3,029,354
Lai Su Ping	12,135,644	1,860,000	-	13,995,644
Tiang Boon Hwa	10,738,944	2,180,000	-	12,918,944
Goh Fuqiang, Kenneth	13,266,666	-	-	13,266,666
Datuk Tan Boon Leng	1,232,700	-	-	1,232,700
Indirect interest				
Chua Tiong Hoong [1]	14,000	-	-	14,000
Lai Su Ping [2]	146,188,454	2,180,000	-	148,368,454
Tiang Boon Hwa [3]	147,585,154	1,860,000	-	149,445,154
Datuk Tan Boon Leng [4]	-	329,600	-	329,600

DIRECTORS' INTERESTS *cont'd*

	Number of warrants 2013/2018			
	At 1.1.2015	Acquired	Converted/ Disposed	At 31.12.2015
Interest in the Company:				
N2N Connect Berhad				
Direct interest				
Chua Tiong Hoong	104,000	-	-	104,000
Lai Su Ping	3,372,280	672,933	-	4,045,213
Tiang Boon Hwa	4,492,089	10,000	-	4,502,089
Datuk Tan Boon Leng	411,166	-	-	411,166
Indirect interest				
Chua Tiong Hoong [1]	125,200	-	-	125,200
Lai Su Ping [2]	51,054,558	10,000	-	51,064,558
Tiang Boon Hwa [3]	49,934,749	672,933	-	50,607,682
Datuk Tan Boon Leng [4]	-	362,266	-	362,266

	No. of options over ordinary shares of RM0.10 each (ESOS)			
	At 1.1.2015	Exercised	Lapsed	At 31.12.2015
Interest in the Company:				
N2N Connect Berhad				
Chua Tiong Hoong	1,900,000	(1,900,000)	-	-
Lai Su Ping	1,860,000	(1,860,000)	-	-
Tiang Boon Hwa	2,180,000	(2,180,000)	-	-

Notes:

1 *Deemed interest through his spouse's direct interest in the Company pursuant to Section 134(12)(c) of the Companies Act, 1965 in compliance with Companies (Amendment) Act 2007.*

2 *Deemed interest through her spouse's direct interest in the Company pursuant to Section 134(12)(c) of the Companies Act, 1965 in compliance with Companies (Amendment) Act 2007 and her direct interest in the holding company, N2N Connect Holdings Sdn. Bhd. Pursuant to Section 6A of the Companies Act, 1965.*

3 *Deemed interest through his spouse's direct interest in the Company pursuant to Section 134(12)(c) of the Companies Act, 1965 in compliance with Companies (Amendment) Act 2007 and his direct interest in the holding company, N2N Connect Holdings Sdn. Bhd. Pursuant to Section 6A of the Companies Act, 1965.*

4 *Deemed interest through his spouse's direct interest in the Company pursuant to Section 134(12)(c) of the Companies Act, 1965 in compliance with Companies (Amendment) Act 2007*

DIRECTORS' INTERESTS *cont'd*

Deemed interested by virtue of their interests in the shares of the Company, Chua Tiong Hoong, Lai Su Ping, Tiang Boon Hwa, Goh Fuqiang, Kenneth and Datuk Tan Boon Leng are also deemed to have interests in the shares of all its subsidiary companies to the extent the Company has an interest.

Oh Kim Sun, Akio Furuse and Tetsuya Iguchi who hold office at the end of the financial year do not have any interest in the ordinary shares and options of the Company or its related corporations during the financial year under review.

DIRECTORS' BENEFITS

Since the end of the previous financial year, no Director of the Company has received or become entitled to receive any benefit (other than a benefit included in the aggregate amount of emoluments received or due and receivable by Directors as shown in the financial statements) by reason of a contract made by the Company or a related corporation with the Director or with a firm of which the Director is a member, or with a company in which the Director has a substantial financial interest.

Neither during nor at the end of the financial year, was the Company or its subsidiary companies a party to any arrangement the object of which is to enable the Directors of the Company to acquire benefits by means of the acquisition of shares in or debentures of the Company or any other body corporate, other than those arising from the share options granted under the N2N Connect Berhad ESOS.

OTHER STATUTORY INFORMATION

(a) Before the statements of profit or loss and other comprehensive income and statements of financial position of the Group and of the Company were made out, the Directors took reasonable steps:

   (i) to ascertain that action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts and satisfied themselves that no known bad debts had been written off and that adequate allowance had been made for impairment losses on receivables; and

   (ii) to ensure that any current assets which were unlikely to realise their value in the ordinary course of business were written down to an amount which they might be expected so to realise.

(b) At the date of this report, the Directors are not aware of any circumstances which would render:

   (i) the amount written off for bad debts or the additional allowance for impairment losses on receivables in the financial statements of the Group and of the Company inadequate to any substantial extent;

   (ii) the values attributed to the current assets in the financial statements of the Group and of the Company misleading;

   (iii) any amount stated in the financial statements of the Group and of the Company misleading; and

   (iv) adherence to the existing method of valuation of assets or liabilities of the Group and of the Company misleading or inappropriate.

(c) No contingent or other liabilities of the Group and of the Company have become enforceable, or are likely to become enforceable within the period of twelve months after the end of the financial year which, in the opinion of the Directors, will or may affect the ability of the Group and of the Company to meet their obligations as and when they fall due.

OTHER STATUTORY INFORMATION *cont'd*

(d) At the date of this report, there does not exist:

(i) any charge on the assets of the Group or of the Company which has arisen since the end of the financial year which secures the liabilities of any other person; and

(ii) any contingent liability in respect of the Group or of the Company which has arisen since the end of the financial year.

(e) In the opinion of the Directors,

(i) the results of the operations of the Group and of the Company for the financial year have not been substantially affected by any item, transaction or event of a material and unusual nature; and

(ii) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature likely to affect substantially the results of the operations of the Group and of the Company for the current financial year in which the report is made.

HOLDING COMPANY

The Directors regard N2N Connect Holdings Sdn. Bhd., a company incorporated in Malaysia, as the holding company.

SUBSEQUENT EVENT

The subsequent event is disclosed in Note 35 to the financial statements.

AUDITORS

The auditors, Messrs. Morison Anuarul Azizan Chew, have expressed their willingness to accept re-appointment.

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors.

CHUA TIONG HOONG **TIANG BOON HWA**

Kuala Lumpur

31 March 2016

STATEMENT BY DIRECTORS

Pursuant to Section 169(15) of the Companies Act, 1965

We, CHUA TIONG HOONG and TIANG BOON HWA, being two of the Directors of N2N CONNECT BERHAD, do hereby state that, in the opinion of the Directors, the financial statements set out on pages 51 to 111 are drawn up in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 1965 in Malaysia so as to give true and fair view of the financial position of the Group and of the Company as at 31 December 2015 and of their financial performance and cash flows for the financial year then ended.

The supplementary information set out in page 112 to the financial statements have been prepared in accordance with the Guidance on Special Matter No.1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosure Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, as issued by the Malaysian Institute of Accountants.

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors.

CHUA TIONG HOONG **TIANG BOON HWA**

Kuala Lumpur

31 March 2016

STATUTORY DECLARATION

Pursuant to Section 169(16) of the Companies Act, 1965

I, TIANG BOON HWA, being the Director primarily responsible for the financial management of N2N CONNECT BERHAD, do solemnly and sincerely declare that the financial statements and supplementary information set out on pages 51 to 111 and page 112 respectively are to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by)
the above named TIANG BOON HWA at)
Kuala Lumpur in the state of Wilayah Persekutuan)
on this date of 31 March 2016) **TIANG BOON HWA**

Before me,

COMMISSIONER FOR OATHS

INDEPENDENT AUDITORS' REPORT

TO THE MEMBERS OF N2N CONNECT BERHAD
(Company No.: 523137-K) (Incorporated in Malaysia)

REPORT ON THE FINANCIAL STATEMENTS

We have audited the financial statements of N2N Connect Berhad, which comprise the statements of financial position as at 31 December 2015 of the Group and of the Company, and the statements of profit or loss and other comprehensive income, statements of changes in equity and statements of cash flows of the Group and of the Company for the financial year then ended, and a summary of significant accounting policies and other explanatory information, as set out on pages 51 to 111.

Directors' Responsibility for the Financial Statements

The Directors of the Company are responsible for the preparation of financial statements so as to give a true and fair view in accordance with the Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 1965 in Malaysia. The Directors are also responsible for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with approved standards on auditing in Malaysia. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal controls relevant to the Company's preparation of financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Group and of the Company as of 31 December 2015 and of their financial performance and cash flows for the financial year then ended in accordance with the Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 1965 in Malaysia.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

In accordance with the requirements of the Companies Act, 1965 in Malaysia, we also report the following:

(a) In our opinion, the accounting and other records and the registers required by the Companies Act, 1965 in Malaysia to be kept by the Company and its subsidiaries of which we have acted as auditors have been properly kept in accordance with the provisions of the Companies Act, 1965 in Malaysia.

(b) We have considered the financial statements and the auditors' report of the subsidiary companies of which we have not acted as auditors, which are indicated in Note 5 to the financial statements.

(c) We are satisfied that the financial statements of the subsidiaries that have been consolidated with the Company's financial statements are in form and content appropriate and proper for the purposes of the preparation of the financial statements of the Group and we have received satisfactory information and explanations required by us for those purposes.

(d) The auditors' reports on the financial statements of the subsidiaries did not contain any qualification or any adverse comment made under Section 174(3) of the Companies Act, 1965 in Malaysia.

OTHER REPORTING RESPONSIBILITIES

The supplementary information set out in page 112 is disclosed to meet the requirement of Bursa Malaysia Securities Berhad and is not part of the financial statements. The Directors are responsible for the preparation of the supplementary information in accordance with Guidance on Special Matter No.1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosure Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, as issued by the Malaysian Institute of Accountants ("MIA Guidance") and the directive of Bursa Malaysia Securities Berhad. In our opinion, the supplementary information is prepared, in all material respects, in accordance with the MIA Guidance and the directive of Bursa Malaysia Securities Berhad.

OTHER MATTERS

This report is made solely to the members of the Company, as a body, in accordance with Section 174 of the Companies Act, 1965 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the contents of this report.

MORISON ANUARUL AZIZAN CHEW
Firm Number: AF 001977
Chartered Accountants

MUHAMAD HAFIZ BIN CHE YUSOF
Approved Number: 3125/06/16 (J)
Chartered Accountant

KUALA LUMPUR

31 March 2016

STATEMENTS OF FINANCIAL POSITION

As At 31 December 2015

		Group		Company	
		2015	2014	2015	2014
	Note	RM	RM	RM	RM
Non-Current Assets					
Property, plant and equipment	3	32,106,771	32,712,960	24,602,722	25,335,468
Investment properties	4	13,026,992	13,307,030	13,026,992	13,307,030
Investment in subsidiary companies	5	-	-	2,095,002	2,095,000
Intangible assets	6	16,137,749	12,212,337	12,763,450	11,003,291
		61,271,512	58,232,327	52,488,166	51,740,789
Current Assets					
Trade receivables	7	11,369,011	9,784,923	694,639	393,466
Other receivables	8	1,014,120	2,296,600	226,087	462,627
Amount owing by subsidiary companies	9	-	-	21,363,667	21,755,728
Amount owing by a related company	10	101,600	16,434	134,120	8,570
Amount owing by holding company	11	15,289	-	-	-
Tax recoverable		143,414	136,124	143,414	136,124
Marketable securities	12	85,751,511	86,537,742	85,751,511	86,537,742
Financial assets at fair value through profit or loss	13	4,467,108	-	4,467,108	-
Deposits with licensed banks	14	6,314,080	6,286,945	6,314,080	6,286,945
Cash and bank balances		18,556,989	4,505,764	6,732,140	1,000,933
		127,733,122	109,564,532	125,826,766	116,582,135
Current Liabilities					
Trade payables	15	3,295,323	1,537,984	223,531	364,724
Other payables	16	2,991,381	2,744,710	899,427	879,819
Amount owing to a subsidiary company	9	-	-	1,933,302	1,215,475
Amount owing to Directors	17	-	39,078	-	39,078
Bank borrowings	18	729,250	728,107	704,400	704,400
Provision for taxation		3,967	-	-	-
		7,019,921	5,049,879	3,760,660	3,203,496
Net current assets		120,713,201	104,514,653	122,066,106	113,378,639
		181,984,713	162,746,980	174,554,272	165,119,428

		Group		Company	
		2015	2014	2015	2014
	Note	RM	RM	RM	RM
Financed By:					
Share capital	19	46,358,917	43,968,667	46,358,917	43,968,667
Share premium		111,809,310	106,225,342	111,809,310	106,225,342
Treasury shares	20	-	(4,881,241)	-	(4,881,241)
Reserves	21	2,381,699	1,986,824	1,653,841	1,677,749
Retained profits		15,936,092	10,883,532	9,835,283	13,846,441
Equity attributable to owners of the Company		176,486,018	158,183,124	169,657,351	160,836,958
Non-controlling interests		588,955	-	-	-
Total Equity		177,074,973	158,183,124	169,657,351	160,836,958
Non-Current Liabilities					
Bank borrowings	18	3,590,889	4,320,138	3,578,070	4,282,470
Deferred tax liabilities	22	1,318,851	243,718	1,318,851	-
		4,909,740	4,563,856	4,896,921	4,282,470
		181,984,713	162,746,980	174,554,272	165,119,428

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For The Financial Year Ended 31 December 2015

		Group		Company	
		2015	2014	2015	2014
	Note	RM	RM	RM	RM
Revenue	23	38,901,700	34,239,312	6,525,221	13,081,058
Cost of sales		(17,023,698)	(14,381,850)	(3,651,208)	(3,717,218)
Gross profit		21,878,002	19,857,462	2,874,013	9,363,840
Other operating income		5,359,226	2,719,043	6,929,682	3,738,199
Administration expenses		(16,515,084)	(14,487,787)	(7,839,895)	(6,811,467)
Finance costs		(319,626)	(997,405)	(317,293)	(995,810)
Profit before taxation	24	10,402,518	7,091,313	1,646,507	5,294,762
Taxation	25	(1,106,527)	(49,991)	(1,343,189)	10,145
Profit for the financial year		9,295,991	7,041,322	303,318	5,304,907
Other comprehensive income:					
Items that may be reclassified subsequently to profit or loss					
- Exchange differences arising from translation of foreign operations		418,783	62,297	-	-
Total comprehensive income for the financial year		9,714,774	7,103,619	303,318	5,304,907
Profit for the financial year attributable to:					
- Owners of the Company		9,367,036	7,041,322	303,318	5,304,907
- Non-controlling interests		(71,045)	-	-	-
		9,295,991	7,041,322	303,318	5,304,907
Total comprehensive income attributable to:					
- Owners of the Company		9,785,819	7,103,619	303,318	5,304,907
- Non-controlling interests		(71,045)	-	-	-
		9,714,774	7,103,619	303,318	5,304,907
Earnings per share attributable to owners of the Company:					
- Basic	26(a)	2.13	1.90		
- Diluted	26(b)	1.93	1.59		

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CHANGES IN EQUITY

For The Financial Year Ended 31 December 2015

		Attributable to Owners of the Company								
			Non-distributable				Distributable			
Group	**Note**	**Share Capital**	**Share Premium**	**Treasury Shares**	**Exchange Reserve**	**Warrants Reserve**	**Retained Profits**	**Sub-Total**	**Non-Controlling interest**	**Total Equity**
		RM	**RM**	**RM**	**RM**	**RM**	**RM**	**RM**	**RM**	**RM**
At 1 January 2015		43,968,667	106,225,342	(4,881,241)	309,075	1,677,749	10,883,532	158,183,124	-	158,183,124
Issue of shares pursuant to:										
- ESOS		2,270,710	2,576,160	-	-	-	-	4,846,870	-	4,846,870
- Exercise of Warrants		119,540	358,620	-	-	(23,908)	-	454,252	-	454,252
Resale of treasury shares	20	-	2,649,188	5,904,762	-	-	-	8,553,950	-	8,553,950
Shares purchased during the year held as treasury shares	20	-	-	(1,023,521)	-	-	-	(1,023,521)	-	(1,023,521)
Dividends	27	-	-	-	-	-	(4,314,476)	(4,314,476)	-	(4,314,476)
Partial disposal of equity interest in a subsidiary		-	-	-	-	-	-	-	660,000	660,000
Profit for the financial year		-	-	-	-	-	9,367,036	9,367,036	(71,045)	9,295,991
Other comprehensive income:										
Exchange differences arising from translation of foreign operation		-	-	-	418,783	-	-	418,783	-	418,783
Total comprehensive income for the financial year		-	-	-	418,783	-	9,367,036	9,785,819	(71,045)	9,714,774
At 31 December 2015		46,358,917	111,809,310	-	727,858	1,653,841	15,936,092	176,486,018	588,955	177,074,973

		Attributable to Owners of the Company						
			Non-distributable				Distributable	
Group		**Share Capital**	**Share Premium**	**Treasury Shares**	**Exchange Reserve**	**Warrants Reserve**	**Retained Profits**	**Total**
	Note	**RM**	**RM**	**RM**	**RM**	**RM**	**RM**	**RM**
At 1 January 2014		30,407,480	6,634,477	(1,656,911)	246,778	1,937,762	11,594,774	49,164,360
Issue of shares pursuant to:								
- ESOS		58,360	68,902	-	-	-	-	127,262
- Exercise of Warrants		1,300,067	3,120,159	-	-	(260,013)	-	4,160,213
- Private placement		12,202,760	96,401,804	-	-	-	-	108,604,564
Resale of treasury shares	20	-	-	2,354	-	-	-	2,354
Shares purchased during the year held as treasury shares	20	-	-	(3,226,684)	-	-	-	(3,226,684)
Dividends	27	-	-	-	-	-	(7,752,564)	(7,752,564)
Profit for the financial year		-	-	-	-	-	7,041,322	7,041,322
Other comprehensive income:								
Exchange differences arising from translation of foreign operation		-	-	-	62,297	-	-	62,297
Total comprehensive income for the financial year		-	-	-	62,297	-	7,041,322	7,103,619
At 31 December 2014		43,968,667	106,225,342	(4,881,241)	309,075	1,677,749	10,883,532	158,183,124

Company	Note	Share Capital RM	Non-distributable Share Premium RM	Non-distributable Treasury Shares RM	Non-distributable Warrants Reserve RM	Distributable Retained Profits RM	Total RM
At 1 January 2015		43,968,667	106,225,342	(4,881,241)	1,677,749	13,846,441	160,836,958
Issue of shares pursuant to:							
- ESOS		2,270,710	2,576,160	-	-	-	4,846,870
- Exercise of Warrants		119,540	358,620	-	(23,908)	-	454,252
Resale of treasury shares	20	-	2,649,188	5,904,762	-	-	8,553,950
Shares purchased during the year held as treasury shares	20	-	-	(1,023,521)	-	-	(1,023,521)
Dividends	27	-	-	-	-	(4,314,476)	(4,314,476)
Profit/Total comprehensive income for the financial year		-	-	-	-	303,318	303,318
At 31 December 2015		46,358,917	111,809,310	-	1,653,841	9,835,283	169,657,351
At 1 January 2014		30,407,480	6,634,477	(1,656,911)	1,937,762	16,294,098	53,616,906
Issue of shares pursuant to:							
- ESOS		58,360	68,902	-	-	-	127,262
- Exercise of Warrants		1,300,067	3,120,159	-	(260,013)	-	4,160,213
- Private Placement		12,202,760	96,401,804	-	-	-	108,604,564
Resale of treasury shares	20	-	-	2,354	-	-	2,354
Shares purchased during the year held as treasury shares	20	-	-	(3,226,684)	-	-	(3,226,684)
Dividends	27	-	-	-	-	(7,752,564)	(7,752,564)
Total comprehensive income for the financial year		-	-	-	-	5,304,907	5,304,907
At 31 December 2014		43,968,667	106,225,342	(4,881,241)	1,677,749	13,846,441	160,836,958

The accompanying notes form an integral part of the financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS

For The Financial Year Ended 31 December 2015

	2015 RM	2014 RM
Cash Flows From Operating Activities		
Profit before taxation	10,402,518	7,091,313
Adjustments for:		
Allowance for impairment loss on other receivables	-	222,150
Amortisation of intangible asset	2,468,934	2,173,540
Bad debts written-off	302,095	-
Depreciation of property, plant and equipment	3,983,180	3,510,659
Depreciation of investment properties	280,038	280,036
Fair value change on financial assets at fair value through profit and loss	681,097	-
Unrealised foreign exchange gain	(210,762)	-
Finance costs	319,626	997,405
Finance income	(71,239)	(75,954)
Dividend income	(2,565,438)	(1,445,782)
Operating profit before working capital changes	15,590,049	12,753,367
Changes in working capital:		
Trade receivables	(1,675,421)	(1,383,420)
Other receivables	1,282,480	(1,650,897)
Financial assets at fair value through profit or loss	(5,255,449)	-
Trade payables	1,757,339	742,963
Other payables	246,671	216,208
Amount owing to Directors	(39,078)	(106,364)
Amount owing by related company	(85,166)	283,003
Amount owing by holding company	(15,289)	224,367
	(3,783,913)	(1,674,140)
Cash generated from operations	11,806,136	11,079,227
Dividend received	2,565,438	1,445,782
Interest paid	(319,626)	(997,405)
Interest received	71,239	75,954
Tax refund	73,864	-
Tax paid	(108,581)	(187,557)
	2,282,334	336,774
Net cash generated from operating activities	14,088,470	11,416,001

	2015 RM	2014 RM
Cash Flows From Investing Activities		
Computer software development cost	(6,394,346)	(3,354,100)
Purchase of property, plant and equipment	(3,255,953)	(3,684,224)
Proceeds from partial disposal of a subsidiary	660,000	-
Proceeds from disposal of financial assets at fair value through profit or loss	107,244	-
Net changes in marketable securities	786,231	(86,479,967)
Net cash used in investing activities	(8,096,824)	(93,518,291)
Cash Flows From Financing Activities		
Dividend paid	(4,314,476)	(7,752,564)
Drawdown from finance lease	-	72,800
Proceeds from issuance of shares	5,301,122	112,892,039
Proceeds from resale of treasury shares	8,553,950	2,354
Repayment of bank borrowings	(704,400)	(11,368,690)
Repayment of finance lease	(23,706)	(11,425)
Repurchase of treasury shares	(1,023,521)	(3,226,684)
Net cash generated from financing activities	7,788,969	90,607,830
Net increase in cash and cash equivalents	13,780,615	8,505,540
Effect of exchange rate changes	297,745	43,041
Cash and cash equivalents at beginning of the financial year	10,792,709	2,244,128
Cash and cash equivalents at end of the financial year	24,871,069	10,792,709
Cash and cash equivalents at end of the financial year comprises:		
Deposits with licensed banks	6,314,080	6,286,945
Cash and bank balances	18,556,989	4,505,764
	24,871,069	10,792,709

COMPANY STATEMENT OF CASH FLOWS

For The Financial Year Ended 31 December 2015

	2015 RM	2014 RM
Cash Flows From Operating Activities		
Profit before taxation	1,646,507	5,294,762
Adjustments for:		
Allowance of impairment loss on other receivables	-	222,150
Amortisation of intangible asset	2,000,310	1,837,137
Bad debts written-off	137,512	-
Depreciation of property, plant and equipment	1,084,302	924,452
Depreciation of investment properties	280,038	280,036
Fair value change on financial assets at fair value through profit and loss	681,097	-
Finance cost	317,293	995,810
Finance income	(33,752)	(63,596)
Dividend income	(2,565,438)	(1,445,782)
Unrealised foreign exchange gain	(832,389)	-
Operating profit before working capital changes	2,715,480	8,044,969
Changes in working capital:		
Trade receivables	(287,572)	169,207
Other receivables	85,427	(180,037)
Financial assets at fair value through profit or loss	(5,255,449)	-
Trade payables	(141,193)	240,729
Other payables	19,608	(106,471)
Amount owing to Directors	(39,078)	(106,364)
Amount owing by subsidiary companies	1,808,157	(21,609)
Amount owing by related company	8,570	(19,221)
Amount owing by holding company	-	43,875
	(3,801,530)	20,109
Cash (used in)/generated from operations	(1,086,050)	8,065,078
Dividend received	2,565,438	1,445,782
Interest paid	(317,293)	(995,810)
Interest received	33,752	63,596
Tax paid	(105,494)	(127,421)
Tax refund	73,864	-
	2,250,267	386,147
Net cash generated from operating activities	1,164,217	8,451,225

	2015 RM	2014 RM
Cash Flows From Investing Activities		
Computer software development cost	(3,760,469)	(2,923,410)
Purchase of property, plant and equipment	(351,556)	(1,378,704)
Proceeds from disposal of financial assets at fair value through profit or loss	107,244	-
Net changes in marketable securities	786,231	(86,479,967)
Net cash used in investing activities	(3,218,550)	(90,782,081)
Cash Flows From Financing Activities		
Dividend paid	(4,314,476)	(7,752,564)
Proceeds from issue of shares	5,301,122	112,892,039
Proceeds from resale of treasury shares	8,553,950	2,354
Repayment of term loan	(704,400)	(11,368,690)
Repurchase of treasury shares	(1,023,521)	(3,226,684)
Net cash generated from financing activities	7,812,675	90,546,455
Net increase in cash and cash equivalents	5,758,342	8,215,599
Cash and cash equivalents at beginning of the financial year	7,287,878	(927,721)
Cash and cash equivalents at end of the financial year	13,046,220	7,287,878
Cash and cash equivalents at end of the financial year comprises:		
Deposits with licensed bank	6,314,080	6,286,945
Cash and bank balances	6,732,140	1,000,933
	13,046,220	7,287,878

The accompanying notes form an integral part of the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

The principal activities of the Company are investment holding, carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities and management of investment properties.

The principal activities of the subsidiary companies are disclosed in Note 5 to the financial statements.

The Company is a public limited liability company, incorporated under the Companies Act, 1965 and domiciled in Malaysia, and is listed on the ACE Market of Bursa Malaysia Securities Berhad.

The registered office of the Company is located at 3rd Floor, No. 17, Jalan Ipoh Kecil, 50350 Kuala Lumpur.

The principal place of business of the Company is located at Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES

2.1. Basis of preparation

The financial statements of the Group and of the Company have been prepared in accordance with the provisions of the Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards and the requirements of the Companies Act, 1965 in Malaysia.

The financial statements have been prepared under the historical cost convention except as disclosed in summary of significant accounting policies.

The preparation of financial statements in conformity with MFRS requires the use of certain critical accounting estimates and assumptions that affect the reported amount of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amount of revenues and expenses during the reported period. It also requires Directors to exercise their judgment in the process of applying the Group and Company's accounting policies. Although these estimates and judgment are based on the Directors' best knowledge of current events and actions, actual results may differ. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 2.3.

Amendments to accounting standards that are effective for the Group and the Company's financial year beginning on or after 1 January 2015 are as follows:

- Amendments to MFRS 1, "First-time Adoption of Malaysian Financial Reporting Standards" (Annual Improvements 2011-2013 Cycle)
- Amendments to MFRS 2, Share-Based Payment" (Annual Improvement 2010-2012 Cycle)
- Amendments to MFRS 3, "Business Combinations" (Annual Improvements 2010-2012 Cycle and 2011-2013 Cycle)
- Amendments to MFRS 8, "Operating Segments" (Annual Improvements 2010-2012 Cycle)
- Amendments to MFRS 13, " Fair Value Measurement" (Annual Improvements 2010-2012 Cycle and 2011-2013 Cycle)

- Amendments to MFRS 116, "Property, Plant and Equipment" and MFRS 138, "Intangible Assets" (Annual Improvements 2010-2012 Cycle)
- Amendments to MFRS 119, "Defined Benefits Plans Employee Contribution"
- Amendments to MFRS 124, "Related Party Disclosures" (Annual Improvements 2010-2012 Cycle)
- Amendments to MFRS 140, "Investment Property" (Annual Improvements 2011-2013 Cycle)

The above amendments to accounting standards effective during the financial year do not have any significant impact to the financial results and position of the Group and the Company.

Accounting standards and amendments to accounting standards that are for the Group and the Company in the following periods but are not yet effective:

Annual periods beginning on/after 1 January 2016

Amendments to MFRS 5 Non-Current Assets Held for Sale and Discontinued Operations

The Amendments introduce specific guidance in MFRS 5 for when an entity reclassifies an asset (or disposal group) from held-for-sale to held-for-distribution to owners (or vice versa), or when held-for-distribution is discontinued.

Amendments to MFRS 7 Financial Instruments: Disclosures

The amendments provide additional guidance to clarify whether servicing contracts constitute continuing involvement for the purposes of applying the disclosure requirement of MFRS 7. The Amendments also clarify the applicability of Amendments of MFRS 7, Disclosure-Offsetting Financial Assets and Financial Liabilities to condensed interim financial statements.

Amendments to MFRS 11 Joint Arrangements

These Amendments clarify that when an entity acquires an interest in a joint operation in which the activity of the joint operation constitutes a business, as defined in MFRS 3, it shall apply the relevant principles on business combinations accounting in MFRS 3, and other MFRSs, that do not conflict with MFRS 11. Some of the impact arising may be the recognition of goodwill, recognition of deferred tax assets/liabilities and recognition of acquisition-related costs as expenses.

Amendments to MFRS 101 Presentation of Financial Statements

The Amendments aim to improve the effectiveness of disclosures and are designed to encourage companies to apply professional judgement in determining the information (including where and in what order) to be disclosed in the financial statements.

Amendments to MFRS 116 Property, plant and equipment

These Amendments to MFRS 116 prohibit revenue-based depreciation because revenue does not, as a matter of principle, reflect the way in which an item of property, plant and equipment is used or consumed.

Amendments to MFRS 119 Employee Benefits

The Amendments clarify that the high quality corporate bond used estimate the discount rate for post-employment benefits obligations should be denominated in the same currency as the liability. The Amendments also clarifies that the depth of the market for high quality corporate bonds should be assessed at a currency level.

Amendments to MFRS 127 Separate Financial Statements

The Amendments allow a parent and investors to use the entity equity method in its separate financial statement to account for investments in subsidiaries, joint ventures and associates, in addition to the existing options.

Amendments to MFRS 134 Interim Financial Reporting

The Amendments clarifies the meaning of disclosure of information 'elsewhere in the interim financial report' as used in MFRS 134. The Amendments requires such disclosures to be given either in the interim financial statements or incorporated by cross-reference from the interim financial statements to some other statement that is available to users of the financial statements on the same terms as the interim financial statements and at the same time.

Amendments to MFRS 138 Intangible assets

These Amendments to MFRS 138 introduce a rebuttable presumption that an amortisation method that is based on the revenue generated by an activity that includes the use of an intangible asset is inappropriate. This presumption can be overcome only in the limited circumstances:

- In which the intangible asset is expressed as a measure of revenue, i.e. in the circumstance in which the predominant limiting factor that is inherent in an intangible asset is the achievement of a revenue threshold; or
- When it can be demonstrated that revenue and the consumption of the economic benefits of the intangible asset are highly correlated.

Annual periods beginning on/after 1 January 2018

MFRS 9 Financial Instruments

This Standard addresses the classification, measurement and recognition of financial assets and financial liabilities.

Classification determines how financial assets and financial liabilities are accounted for in financial statements and, in particular, how they are measured on an ongoing basis. The Standard introduces an approach for classification of financial assets which is driven by cash flow characteristics and the business model in which an asset is held. The new model also results in a single impairment model being applied to all financial instruments, thereby removing a source of complexity associated with previous accounting requirements. If a financial asset is a simple debt instrument and the objective of the entity's business model within which it is held is to collect its contractual cash flows, the financial asset is measured at amortised cost. In contrast, if that asset is held in a business model the objective of which is achieved by both collecting contractual cash flows and selling financial assets, then the financial asset is measured at fair value in the balance sheet, and amortised cost information is provided through profit or loss. If the business model is neither of these, then fair value information is increasingly important, so it is provided both in the profit or loss and in the balance sheet.

The Standard introduces a new, expected-loss impairment model that will require more timely recognition of expected credit losses. Specifically, it requires entities to account for expected credit losses from when financial instruments are first recognised and to recognise full lifetime expected losses on a more timely basis. The model requires an entity to recognise expected credit losses at all times and to update the amount of expected credit losses recognised at each reporting date to reflect changes in the credit risk of financial instruments. This model is forward-looking and it eliminates the threshold for the recognition of expected credit losses, so that it is no longer necessary for a trigger event to have occurred before credit losses are recognised.

In addition, the Standard introduces a substantially-reformed model for hedge accounting, with enhanced disclosures about risk management activity. The new model represents a significant overhaul of hedge accounting that aligns the accounting treatment with risk management activities, enabling entities to better reflect these activities in their financial statements. As a result of these changes, users of the financial statements will be provided with better information about risk management and the effect of hedge accounting on the financial statements.

MFRS 15 Revenue from Contracts with Customers

The Standard provides clarity on revenue recognition especially on areas where existing requirements unintentionally created diversity in practice. Under MFRS 15, an entity recognises revenue to depict the transfer of promised good or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services.

Extensive disclosures are required to provide greater insight into both revenue that has been recognised, and revenue that is expected to be recognised in the future from existing contracts.

Existing date yet to be determined by the Malaysian Accounting Standards Board

Amendments to MFRS 10 Consolidated Financial Statements and MFRS 128 Investment in Associates and Joint Ventures

The Amendments address an acknowledged inconsistency between the requirements in MFRS 10 and those in MFRS 128, in dealing with the sale or contribution of assets between an investor and its associates or joint venture. The main consequence of Amendments is that a full gain or loss is recognised when a transaction involves a business (whether it is housed in subsidiary or not), as defined in MFRS 3. A partial gain or loss is recognised when a transaction involves assets that do not constitute a business, even if these assets are housed in a subsidiary.

The Group is in the process of assessing the impact of MFRS 9 and MFRS 15 in the year of initial application. Aside from the above mentioned, the adoption of the accounting standards and amendments to accounting standards are not expected to have any significant impact to the financial statements of the Group and the Company.

Accounting standards and amendments to accounting standards that are not relevant and not yet effective for the Group and the Company are as follows:

- Amendments to MFRS 10, MFRS 12 and MFRS 128, “Investment Entities: Applying the Consolidation Exception”
- MFRS 14, “ Regulatory Deferral Accounts”
- Amendments to MFRS 116 and MFRS 141, “ Agriculture: Bearer Plants”

2.2. Basis of consolidation

Subsidiaries are entities, including structured entities, controlled by the Group. The group controls an entity when the group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

The Group considers it has de-facto power over an investee when, despite not having the majority of voting rights, it has the current ability in circumstances where the size of the Group’s voting rights relative to the size and dispersion of holdings of other shareholders to direct the activities of the investee that significantly affect the investee’s return.

Subsidiaries are fully consolidated from the date on which control is transferred to the group. They are deconsolidated from the date that control ceases.

Business combinations are accounted for using the acquisition method on the acquisition date. The consideration transferred includes the fair value of assets transferred, equity interest issued by the Group and liabilities assumed. Identifiable assets acquired, liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date.

The Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of the acquiree's identifiable net assets.

Acquisition-related costs are recognised in the profit or loss as incurred.

The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recognised as goodwill. If the total of consideration transferred, non-controlling interest recognised and previously held interest measured is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in the profit or loss.

Inter-company transactions, balances and unrealised gains and losses on transactions between group companies are eliminated. Accounting policies of subsidiaries have been adjusted where necessary to ensure consistency with the policies adopted by the Group.

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions. Any difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

Upon the loss of control of a subsidiary, the Group derecognises the assets and liabilities, any non-controlling interests and other components of equity related to the disposed subsidiary. Any retained interest in the entity is re-measured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset depending on the level of influence retained.

2.3. Significant accounting estimates and judgements

Accounting estimates and judgements, are assessed on an on-going basis and are based on experience and relevant factors, including expectations of future events that are believed to be reasonable under the circumstances.

The key assumptions concerning the future and other key sources of estimation or uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

(i) Depreciation of property, plant and equipment

The costs of property, plant and equipment are depreciated on a straight-line basis over the useful lives of the property, plant and equipment. Management estimates the useful lives of the property, plant and equipment as stated in Note 2.4(b)(ii). These are common life expectancies applied in the industries. Changes in the expected level of usage and technological developments could impact the economic useful lives and the residual values of these assets, therefore future depreciation charges could be revised.

(ii) Amortisation of intangible assets

The costs of intangible assets of the Group and of the Company are amortised on a straight-line basis over the useful life of the asset. Management estimates the useful life of the computer software as stated in Note 2.4(e). These are common life expectancies applied in the industry. Changes in the expected level of usage and technological developments could impact the economic useful life and the residual value of this asset, therefore future amortisation charges could be revised.

(iii) Income taxes

The Group has exposure to income taxes in numerous jurisdictions. Significant judgement is involved in determining the group-wide provision for income taxes. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognises liabilities for expected tax issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

(iv) Impairment of loans and receivables

The policy for impairment of loans and receivables of the Group and the Company is based on the evaluation of collectability and aged analysis of accounts and on the management's judgement. A considerable amount of judgement is required in assessing the ultimate realisation of these receivables, including the current creditworthiness and the past collection history of each customer. If the financial conditions of customers with which the Group and the Company deals were to deteriorate, resulting in an impairment of the ability to make payments, additional impairment may be required.

(v) Impairment of software development costs

Software development costs comprise salaries of personnel involved in the development and design of products.

The Group reviews the carrying amounts of software development costs as at the end of the reporting period to determine whether there is any indication of impairment. If any such indication exists, the assets' recoverable amount or value in use is estimated. Determining the value in use of software development costs requires the determination of future cash flows expected to be generated from the continued use, and ultimate disposition of such assets. Any resulting impairment loss could have a material adverse impact on the Group's financial position and results of operations.

Significant judgement in the estimation of the present value of future cash flows generated by the product development costs, which involve uncertainties and are significantly affected by assumptions used and judgement made regarding estimates of future cash flows and discount rates. Changes in assumptions could significantly affect the results of the Group's assessment for impairment of software development costs.

(vi) Classification between investment properties and property, plant and equipment.

The Group and the Company has developed certain criteria based on MFRS 140 in making judgement whether a property qualifies as an investment property. Investment property is a property held to earn rentals or for capital appreciation or both.

The properties of the Group and the Company comprise a portion that is held to earn rentals or for capital appreciation and another portion that is held for use in the production or supply of goods or services or for administrative purposes. If these portions could be sold separately (or leased out separately under a finance lease), the Group and the Company would account for the portions separately. If the portions could not be sold separately, the property is an investment property only if an insignificant portion is held for use in the production or supply of goods or services or for administrative purposes. Judgement is made on an individual property basis to determine whether ancillary services are so significant that a property does not qualify as investment property.

(vii) Fair value of investment properties

In the absence of current prices in an active market for similar properties, the Group considers information from a variety of sources, including:

(i) current prices in an active market for properties of a different nature, condition or location (or subject to different lease or other contracts), adjusted to reflect those differences; and

(ii) recent prices of similar properties based on a less active market, with adjustments to reflect any changes in economic conditions since the date of the transactions that occurred at those prices.

2.4. Summary of significant accounting policies

(a) Investments in subsidiaries and associates

In the Company's separate financial statements, investments in subsidiaries and associates are carried at cost less accumulated impairment losses. On disposal of investments in subsidiaries and associates, the difference between disposal proceeds and the carrying amounts of the investments are recognised in profit or loss.

(b) Property, plant and equipment

(i) Recognition and measurement

Property, plant and equipment are stated at cost less accumulated depreciation and impairment losses. The cost of an item of property, plant and equipment initially recognised includes its purchase price and any cost that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are recognised as expenses in profit or loss during the financial period in which they are incurred.

When significant parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Gains and losses on disposals are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment and are recognised in net in the profit or loss.

(ii) Depreciation

Depreciation is recognised in the profit or loss on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment. Leasehold land and building are amortised over the period of the lease. The estimated useful lives are as follows:

Leasehold land	99 years
Leasehold building	50 years
Computer equipment	3 to 5 years
Office equipment	10 years
Furniture and fittings	10 years
Renovation	10 years
Motor vehicles	5 years

Depreciation methods, useful lives and residual values are reviewed at end of each reporting period, and adjusted as appropriate.

At the end of the reporting period, the Group assesses whether there is any indication of impairment. If such indications exist, an analysis is performed to assess whether the carrying amount of the asset is fully recoverable. A write down is made if the carrying amount exceeds the recoverable amount. (Refer to accounting policy Note 2.4(d) on impairment of non-financial assets).

(c) Investment Properties

Investment properties are properties which are owned or held under a leasehold interest to earn rental income or for capital appreciation or for both. Properties that are occupied by the Group and the Company are accounted for as owner-occupied rather than as investment properties. Investment properties are measured initially at cost, including related transaction costs. Subsequent to initial recognition, investment properties are stated at cost less accumulated depreciation and any accumulated impairment losses, consistent with the accounting policy for property, plant and equipment as stated in accounting policy Note 2.4(b).

Depreciation is recognised in the profit or loss on a straight-line basis over the estimated useful life of the properties. Leasehold land is amortised over the period of lease of 99 years and building is amortised over its estimated useful life of 50 years.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the profit or loss in the year in which they arise.

(d) Impairment of non-financial assets

Assets that have an indefinite useful life, such as goodwill or intangible assets not ready to use, are not subject to amortisation and are tested annually for impairment. Assets that are subject to amortisation and depreciation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or cash-generating units.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

An impairment loss is recognised if the carrying amount of an asset or its related cash-generating unit exceeds its estimated recoverable amount.

Impairment losses are recognised in profit or loss unless it reverses a previous revaluation in which it is charged to the revaluation surplus. Impairment losses recognised in prior periods are assessed at the end of each reporting period for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount since the last impairment loss was recognised. An impairment loss is reversed only to the extent that the asset's carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are credited to profit or loss in the financial year in which the reversals are recognised.

(e) Intangible assets

Internally generated development costs incurred for computer software that are directly attributable to a plan or design for the production of new or substantially improved identifiable products and processes are recognised as intangible assets when the following criteria are met:

- it is technically feasible to complete the software product so that it will be available for use;
- management intends to complete the software product and use or sell it;
- there is an ability to use or sell the software product;
- it can be demonstrated how the software product will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- the expenditure attributable to the software product during its development can be reliably measured.

Directly attributable costs that are capitalised as part of the software product include the software development employee costs and an appropriate portion of relevant overheads.

Other development expenditures that do not meet these criteria are recognised as an expense as incurred. Development costs previously recognised as an expense are not recognised as an asset in a subsequent period.

Capitalised development costs recognised as assets are amortised over its estimated useful lives of 5 to 10 years.

(f) Cash and cash equivalents

Cash and cash equivalents include cash and bank balances, deposits and other short term highly liquid investments that are readily convertible to cash and are subject to insignificant risk of changes in value. For the purpose of the statements of cash flows, cash and cash equivalents are presented net of bank overdrafts and pledged deposits, if any.

(g) Foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the "functional currency"). The financial statements are presented in Ringgit Malaysia ("RM"), which is the Company's functional and presentation currency.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are remeasured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

(iii) Foreign operations

The results and financial position of foreign operations that have a functional currency different from the presentation currency of the consolidated financial statements are translated into the presentation currency as follows:

- assets and liabilities of foreign operations are translated at the closing rate prevailing at the reporting date;
- income and expenses for each statement of profit and loss and other comprehensive income presented are translated at average exchange rates for the year, which approximates the exchange rates at the dates of the transactions; and
- all resulting exchange differences are taken directly to other comprehensive income through the exchange reserve.

On the disposal of a foreign operation, the cumulative amount of the exchange differences relating to that foreign operation, recognised in other comprehensive income and accumulated in the separate component of equity are reclassified to profit or loss.

In the case of a partial disposal that does not result in the Group losing control over a subsidiary that includes a foreign operation, the proportionate share of accumulated exchange differences are re-attributed to non-controlling interests and are not recognised in profit or loss. For all other partial disposals (that is, reductions in the group's ownership interest in associates or joint ventures that do not result in the group losing significant influence or joint control) the proportionate share of the accumulated exchange difference is reclassified to profit or loss.

(h) Financial assets

(i) Classification

The Group classifies its financial assets based on the purpose for which the financial assets were acquired at initial recognition in the following categories:

Financial assets at fair value through profit or loss

Fair value through profit or loss category comprises financial assets that are held for trading, including derivatives (except for a derivative that is a financial guarantee contract or a designated and effective hedging instrument) or financial assets that are specifically designated into this category upon initial recognition.

Assets in this category are classified as current assets if expected to be settled within 12 months, otherwise, they are classified as non-current assets.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market.

They are included in current assets, except for maturities greater than 12 months after the end of the reporting period. These are classified as non-current assets.

Held-to-maturity financial assets

Held-to-maturity financial assets are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Group's management has the positive intention and ability to hold to maturity.

Held-to-maturity financial assets are included in non-current assets, except for those with maturities less than 12 months from the end of the reporting period, which are classified as current assets.

Available-for-sale financial assets

Available-for-sale financial assets are non-derivatives that are either designated in this category or not classified in any of the other categories.

They are included in non-current assets unless the investment matures or management intends to dispose of it within 12 months of the end of the reporting period.

(ii) Recognition and initial measurement

Regular purchases and sales of financial assets are recognised on the trade-date, the date on which the Group commits to purchase or sell the asset.

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets carried at fair value through profit or loss are initially recognised at fair value, and transaction costs are expensed in profit or loss.

(iii) Subsequent measurement

Gains and losses

Financial assets at fair value through profit or loss and available-for-sale financial assets are subsequently carried at fair value. Loans and receivables and held-to-maturity financial assets are subsequently carried at amortised cost using the effective interest method.

Changes in the fair values of financial assets at fair value through profit or loss, including the effects of currency translation, interest and dividend income are recognised in profit or loss in the period in which the changes arise.

Changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income. Impairment losses and exchange differences on monetary assets are recognised in profit or loss, whereas exchange differences on non-monetary assets are recognised in other comprehensive income as part of fair value change.

Interest and dividend income on available-for-sale financial assets are recognised separately in profit or loss. Interest on available-for-sale debt securities calculated using the effective interest method is recognised in profit or loss. Dividend income on available-for-sale equity instruments are recognised in profit or loss when the Group's right to receive payments is established.

Impairment of financial assets

A financial asset is considered to be impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of that asset. For an equity instrument, a significant or prolonged declined in fair value below its cost is also considered objective evidence of impairment.

An impairment loss in respect of loans and receivables and held-to-maturity investments is recognised in profit or loss and is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at the asset's original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account.

An impairment loss in respect of available-for-sale financial assets is recognised in profit or loss and is measured as the difference between the asset's acquisition cost (net of any principal repayment and amortization) and the asset's current fair value, less any impairment loss previously recognised. Where a decline in the fair value of an available-for-sale financial asset has been recognised in other comprehensive income, the cumulative loss in other comprehensive income is reclassified from equity to profit or loss.

An impairment loss in respect of unquoted equity instrument that is carried at cost is recognised in profit or loss and is measured as the difference between the financial asset's carrying amount and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset.

Impairment losses recognised in profit or loss for an investment in an equity instrument classified as available for sale is not reversed through profit or loss.

If, in a subsequent period, the fair value of a financial asset measured at amortised cost and the increase can be objectively related to an event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed, to the extent that the asset's carrying amount does not exceed what the carrying amount would have been had the impairment not been recognised at the date the impairment is reversed. The amount of the reversal is recognised in profit or loss.

(iv) De-recognition

Financial assets are de-recognised when the rights to receive cash flows from the investments have expired or have been transferred and the Group has transferred substantially all risks and rewards of ownership.

When available-for-sale financial assets are sold, the accumulated fair value adjustments recognised in other comprehensive income are reclassified to profit or loss.

(i) Financial liabilities

Financial liabilities are initially recognised at fair value net of transaction costs for all financial liabilities not carried at fair value through profit or loss. Finance liabilities carried at fair value through profit or loss are initially recognised at fair value, and transaction costs are expensed in profit or loss.

All financial liabilities are subsequently measured at amortised cost using the effective interest method other than those categorised as fair value through profit or loss.

Other financial liabilities categorised as fair value through profit or loss are subsequently measured at their fair values with the gain or loss recognised in profit or loss.

Fair value though profit or loss category comprises financial liabilities that are derivatives (except for a derivative that is a financial guarantee or a designated and effective hedging instrument) or financial liabilities that are specifically designated into this category upon initial recognition.

(j) Offsetting financial instruments

Financial assets and liabilities are offset and the net amount presented in the statements of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

(k) Leased assets

(i) Finance leases

Leases of property, plant and equipment where the Group has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalised at the lease's commencement at the lower of the fair value of the leased property and the present value of the minimum lease payments.

Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate of interest on the remaining balance of the liability. The corresponding rental obligations, net of finance charges, are included in other long-term payables. The interest element of the finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period. The property, plant and equipment acquired under finance leases is depreciated over the shorter of the useful life of the asset and the lease term.

(ii) Operating leases

Leases of assets where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases, net of any incentives received from the lessor, are charged to profit or loss on the straight line basis over the lease period.

Operating lease accounting by lessor

When assets are leased out under an operating lease, the asset is included in the statements of financial position based on the nature of the asset. Lease income is recognised over the term for the lease on a straight line basis.

(l) Current and deferred income tax

The Group has exposure to income taxes in numerous jurisdictions. Significant judgement is involved in determining the group-wide provision for income taxes. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted by the end of the reporting period, and any adjustment to tax payable in respect of previous financial years.

Deferred tax is recognised, using the liability method, on temporary differences arising between the amounts attributed to assets and liabilities for tax purposes and their carrying amounts in the financial statements. However, deferred tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit nor loss. Deferred tax is determined using tax rates that have been enacted or substantively enacted by the end of the reporting period and are expected to apply when the related deferred tax asset is realised or the deferred tax liability is settled.

Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, unused tax losses or unused tax credits can be utilised.

Deferred and income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to taxes levied by the same taxation authority on either the taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

(m) Revenue recognition

(i) Goods sold

Revenue from sale of goods is recognised when the significant risks and rewards of ownership of the goods have been transferred to the customer and where the Group retains no continuing managerial involvement over the goods, which coincides with the delivery of goods and services, and acceptance by customers.

(ii) Sales of services

Revenue from services is recognised in the accounting period in which the services are rendered, by reference to the stage of completion of the transaction and assessed on the basis of the actual service provided as a proportion of the total services to be provided at the end of the reporting period.

(iii) Rental income

Rental income from investment property is recognised on a straight-line basis over the term of the lease.

(iv) Interest income

Interest income is recognised as it accrues using the effective interest method in profit or loss except for interest income arising from temporary investment of borrowings taken specifically for the purpose of obtaining a qualifying asset which is accounted for in accordance with the accounting policy on borrowing costs.

(v) Dividend income

Dividend income is recognised in profit or loss on the date that the Group's or the Company's right to receive payment is established, which in the case of quoted securities is the ex-dividend date.

(n) Employee benefits

(i) Short term employee benefits

Wages, salaries, bonuses and social security contributions are recognised as an expense in the financial year in which the associated services are rendered by employees of the Company and its subsidiary companies. Short term accumulating compensated absences such as paid annual leave are recognised when services are rendered by employees that increase their entitlement to future compensation absences. Short term non-accumulating compensated absences such as sick and medical leave are recognised when the absences occur.

The expected cost of accumulating compensated absences is measured as additional amount expected to be paid as a result of the unused entitlement that has accumulated at the statement of financial position date.

(ii) Defined contribution plans

As required by law, companies in Malaysia make contributions to the Employees Provident Fund ("EPF"). The Group's foreign subsidiary company makes contributions to its respective country's statutory pension scheme. Such contributions are recognised as an expense in the profit or loss as incurred.

(iii) Employee Share Option Scheme ("ESOS")

The N2N ESOS, an equity-settled, share-based compensation plan, allows the Company and its subsidiary company's employees to acquire ordinary shares of the Company. The total fair value of share options granted to employees is recognised as an employee cost with a corresponding increase in the share option reserve within equity over the vesting period and taking into account the probability that the options will vest. The fair value of share options is measured at grant date, taking into account, if any, the market vesting conditions upon which the options were granted but excluding the impact of any non-market vesting conditions. Non-market vesting conditions are included in assumptions about the number of options that are expected to become exercisable on vesting date.

At each statement of financial position date, the Group revises its estimates of the number of options that are expected to become exercisable on vesting date. It recognised the impact of the revision of original estimates, if any, in the profit or loss, and a corresponding adjustment to equity over the remaining vesting period. The equity amount is recognised in the share option reserve until the option is exercised, upon which it will be transferred to share premium, or until the option expires, upon which it will be transferred directly to retained earnings.

The proceeds received net of any directly attributable transaction costs are credited to equity when the options are exercised.

(o) Equity instruments

Ordinary shares are classified as equity. Dividends on ordinary shares are recognised in equity in the period in which they are declared.

The transaction costs of an equity transaction are accounted for as a deduction from equity, net of tax. Equity transaction costs comprise only those incremental external costs directly attributable to the equity transaction which would otherwise have been avoided.

(p) Operating segments

Operating segments are reported in a manner consistent with the internal reporting and are regularly reviewed by the chief operating decision-maker. The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Chief Executive Officer that makes strategic decisions.

(q) Treasury shares

When shares of the Company, that have not been cancelled, recognised as equity are reacquired, the amount of consideration paid is recognised directly in equity. Reacquired shares are classified as treasury shares and presented as a deduction from total equity. No gain or loss is recognised in the profit or loss on the purchase, sale, issue or cancellation of treasury shares. When treasury shares are reissued by resale, the difference between the sales consideration and the carrying amount is recognised in equity.

(r) Warrants reserve

Proceeds from the issuance of warrants, net of issue costs, are credited to warrants reserve which is non-distributable. Warrants reserve is transferred to the share premium account upon the exercise of warrants and the warrants reserve in relation to the unexercised warrants at the expiry of the warrants will be transferred to retained earnings.

3. Property, Plant and Equipment

Group	Long term leasehold land	Long term leasehold building	Computer equipment	Office equipment	Furniture and fittings	Renovation	Motor vehicles	Total
	RM	RM	RM	RM	RM	RM	RM	RM
2015								
Cost								
At 1.1.2015	12,366,833	10,731,795	50,087,491	435,886	519,159	1,654,894	366,518	76,162,576
Additions	-	-	3,136,264	16,379	64,058	39,252	-	3,255,953
Exchange differences	-	-	700,590	3,454	2,570	-	-	706,614
At 31.12.2015	12,366,833	10,731,795	53,924,345	455,719	585,787	1,694,146	366,518	80,125,143
Accumulated depreciation								
At 1.1.2015	378,734	532,566	41,488,185	235,111	288,447	334,696	191,877	43,449,616
Charge for the financial year	129,852	214,635	3,330,407	41,688	45,552	181,788	39,258	3,983,180
Exchange differences	-	-	582,250	1,961	1,365	-	-	585,576
At 31.12.2015	508,586	747,201	45,400,842	278,760	335,364	516,484	231,135	48,018,372
Carrying amount								
At 31.12.2015	11,858,247	9,984,594	8,523,503	176,959	250,423	1,177,662	135,383	32,106,771
2014								
Cost								
At 1.1.2014	12,366,833	10,731,795	46,727,283	393,050	516,986	1,481,784	170,230	72,387,961
Additions	-	-	3,270,598	42,388	1,840	173,110	196,288	3,684,224
Exchange differences	-	-	89,610	448	333	-	-	90,391
At 31.12.2014	12,366,833	10,731,795	50,087,491	435,886	519,159	1,654,894	366,518	76,162,576
Accumulated depreciation								
At 1.1.2014	248,882	317,930	38,509,126	198,752	241,677	181,225	170,230	39,867,822
Charge for the financial year	129,852	214,636	2,908,314	36,128	46,611	153,471	21,647	3,510,659
Exchange differences	-	-	70,745	231	159	-	-	71,135
At 31.12.2014	378,734	532,566	41,488,185	235,111	288,447	334,696	191,877	43,449,616
Carrying amount								
At 31.12.2014	11,988,099	10,199,229	8,599,306	200,775	230,712	1,320,198	174,641	32,712,960

Included in the property, plant and equipment of the Group is a motor vehicle acquired under finance lease arrangement with carrying amount of RM95,007 (2014: RM122,152).

Company	Long term leasehold land	Long term leasehold building	Computer equipment	Office equipment	Furniture and fittings	Renovation	Motor vehicles	Total
	RM	RM	RM	RM	RM	RM	RM	RM
2015								
Cost								
At 1.1.2015	12,366,833	10,731,795	33,766,497	393,085	493,852	1,607,196	170,230	59,529,488
Additions	-	-	231,867	16,379	64,058	39,252	-	351,556
At 31.12.2015	12,366,833	10,731,795	33,998,364	409,464	557,910	1,646,448	170,230	59,881,044
Accumulated depreciation								
At 1.1.2015	378,734	532,566	32,284,633	221,310	276,002	330,545	170,230	34,194,020
Charge for the financial year	129,852	214,635	486,040	33,724	43,033	177,018	-	1,084,302
At 31.12.2015	508,586	747,201	32,770,673	255,034	319,035	507,563	170,230	35,278,322
Carrying amount								
At 31.12.2015	11,858,247	9,984,594	1,227,691	154,430	238,875	1,138,885	-	24,602,722
2014								
Cost								
At 1.1.2014	12,366,833	10,731,795	32,565,104	362,697	492,012	1,462,113	170,230	58,150,784
Additions	-	-	1,201,393	30,388	1,840	145,083	-	1,378,704
At 31.12.2014	12,366,833	10,731,795	33,766,497	393,085	493,852	1,607,196	170,230	59,529,488
Accumulated depreciation								
At 1.1.2014	248,882	317,930	31,931,308	188,607	231,812	180,799	170,230	33,269,568
Charge for the financial year	129,852	214,636	353,325	32,703	44,190	149,746	-	924,452
At 31.12.2014	378,734	532,566	32,284,633	221,310	276,002	330,545	170,230	34,194,020
Carrying amount								
At 31.12.2014	11,988,099	10,199,229	1,481,864	171,775	217,850	1,276,651	-	25,335,468

The long term leasehold land and building of the Group and Company with a carrying amount of RM21,842,841 (2014: RM22,187,328) have been pledged to a licensed bank as security for credit facilities granted to the Group and the Company as disclosed in Note 18 to the financial statements.

The remaining lease period of the long term leasehold land and building is 92 (2014: 93) years.

4. INVESTMENT PROPERTIES

	Note	Group/Company 2015 RM	2014 RM
Leasehold land and buildings			
Cost			
At 1 January/31 December		14,001,873	14,001,873
Accumulated depreciation			
At 1 January		694,843	414,807
Charge for the financial year		280,038	280,036
At 31 December		974,881	694,843
Carrying amount		13,026,992	13,307,030
Fair value		31,945,983	29,437,502

The above investment properties have been pledged to a licensed bank as security for credit facilities granted to the Group and Company as disclosed in Note 18 to the financial statements.

The remaining lease period of the investment properties is 92 (2014: 93) years.

The income earned by the Group and the Company from rental of investment properties amounted to RM1,843,461 (2014: RM1,324,785). Direct operating expenses incurred on the investment properties during the financial year amounted to RM288,256 (2014: RM218,348).

The fair values of the investments as at the end of the reporting periods are arrived at by reference to market evidence of transaction prices for similar properties, adjusted for factors specific to the investment properties.

5. INVESTMENT IN SUBSIDIARY COMPANIES

(a) Investment in subsidiary companies

	Company	
	2015	2014
	RM	RM
Unquoted shares, at cost		
In Malaysia	1,000,004	1,000,002
Outside Malaysia	1,392,000	1,392,000
	2,392,004	2,392,002
Less: Impairment loss	(297,002)	(297,002)
	2,095,002	2,095,000

Movement on the provision for impairment of investment in subsidiary companies:

	Company	
	2015	2014
	RM	RM
At 1 January/31 December	297,002	297,002

(b) The subsidiary companies and shareholding therein are as follows:

Name of company	Country of incorporation and principal place of business	Effective Ownership and Voting interest (%)		Principal activities
		2015	2014	
		%	%	
Direct holding:				
* N2N Connect Pte. Ltd.	Singapore	100	100	Provide consultancy services, sales, marketing and related activities
N2N Global Solutions Sdn. Bhd.	Malaysia	100	100	Research and development of software packages and provision of design, programming, consultancy services and related services
NGN Connection Sdn. Bhd.	Malaysia	100	100	Provision of managed network services, consultancy services, sales, marketing and related activities
N2N Advanced Learning Sdn. Bhd.	Malaysia	100	-	Provision of professional trainings for remisiers and related fields

Name of company	Country of incorporation and principal place of business	Effective Ownership and Voting interest (%)		Principal activities
		2015	2014	
		%	%	
Subsidiary of N2N Global Solutions Sdn. Bhd.				
Influx Biotech Sdn. Bhd.	Malaysia	70	100	Researcher and developer of software packages and provider of design, programming, consultancy services and related activities
Subsidiary of NGN Connection Sdn. Bhd.				
Global Fin Net Sdn. Bhd.	Malaysia	100	100	Provision of data center, system integration, managed network services and related services

* *Subsidiary company not audited by Morison Anuarul Azizan Chew.*

(c) Changes in equity interest in Influx Biotech Sdn. Bhd.

During the financial year, a subsidiary company, Influx Biotech Sdn. Bhd. had increased its issued and paid up share capital from 2 ordinary shares of RM1.00 each to 2,200,000 ordinary shares of RM1.00 each by way of issuance of 2,199,998 new ordinary shares of RM1.00 each which were fully subscribed by the Group.

On 11 September 2015, the Group disposed 30% of the issued and paid up share capital of Influx Biotech Sdn. Bhd., comprising 660,000 ordinary shares of RM1.00 each of a consideration amount of RM660,000. The partial disposal of Influx Biotech Sdn. Bhd. does not have a significant impact to the Group during the financial year.

(d) Acquisition in equity interest in N2N Advanced Learning Sdn. Bhd.

During the financial year, the Company had acquired 100% of the issued and paid up share capital in N2N Advanced Learning Sdn. Bhd. comprising 20 ordinary shares of RM0.10 each fully paid up for total cash consideration of RM2. The acquisition above has no significant impact to the Group and the Company during the financial year.

(e) Non-controlling interests ("NCI") in subsidiaries

	Influx Biotech Sdn. Bhd.	
	2015	2014
	RM	RM
Non-current assets	2,020,257	-
Current assets	627,245	-
Current liabilities	(684,320)	-
Net assets	1,963,182	-
Carrying amount of NCI as at 31 December	588,955	-
Revenue	-	-
Loss/Total comprehensive expense during the financial year	236,817	-
Loss/Total comprehensive expense allocated to NCI during the financial year	71,045	-
Cash flows from operating activities	435,755	-
Cash flows from investing activities	(2,058,510)	-
Cash flows from financing activities	2,199,998	-
Net increase in cash and cash equivalents	577,243	-
Ownership interest and voting rights percentage held by NCI	30%	-

6. INTANGIBLE ASSETS

		Group	
		2015	2014
	Note	RM	RM
Computer software			
Cost			
At 1 January		23,782,526	20,428,426
Addition during the financial year			
- software development cost	29	4,345,226	3,354,100
- separate acquired		2,049,120	-
At 31 December		30,176,872	23,782,526

		Group	
		2015	2014
	Note	RM	RM
Computer software *cont'd*			
Accumulated amortisation			
At 1 January		11,570,189	9,396,649
Amortised during the financial year		2,468,934	2,173,540
At 31 December		14,039,123	11,570,189
Carrying amount			
At 31 December		16,137,749	12,212,337

		Company	
		2015	2014
	Note	RM	RM
Computer software			
Cost			
At 1 January		21,907,441	18,984,031
Addition during the financial year	29	3,760,469	2,923,410
At 31 December		25,667,910	21,907,441
Accumulated amortisation			
At 1 January		10,904,150	9,067,013
Amortised during the financial year		2,000,310	1,837,137
At 31 December		12,904,460	10,904,150
Carrying amount			
At 31 December		12,763,450	11,003,291

The Group and Company capitalise costs on development works relating to the enhancement of its existing software and development of new software packages which management expects will contribute to the generation of additional future economic benefits. The Group and the Company recognised an amortisation of RM2,468,934 and RM2,000,310 (2014: RM2,173,540 and RM1,837,137) respectively which has been charged to cost of sales.

7. TRADE RECEIVABLES

The Group and the Company's normal trade credit terms range from 30 to 90 days (2014: 30 to 90 days).

The ageing analysis is as follows:

	Group		Company	
	2015	2014	2015	2014
	RM	RM	RM	RM
Neither past due nor impaired	3,396,489	2,042,927	154,949	158,535
Past due below 1 year	7,227,655	5,793,231	518,171	96,147
Past due more than 1 year	744,867	1,948,765	21,519	138,784
	7,972,522	7,741,996	539,690	234,931
	11,369,011	9,784,923	694,639	393,466

Trade receivables that are neither past due nor impaired are creditworthy debtors with good payment records with the Group and the Company. These debtors are mostly long term customers with no history of default in payments.

The Group's and the Company's trade receivables that are past due at the reporting date but not impaired relate mainly to customers who have never defaulted on payments but are slow paymasters and are periodically monitored.

8. OTHER RECEIVABLES

	Group		Company	
	2015	2014	2015	2014
	RM	RM	RM	RM
Other receivables	59,567	1,348,427	49,215	478,212
Deposits	404,437	399,575	164,666	163,816
Prepayments	550,116	770,748	12,206	42,749
	1,014,120	2,518,750	226,087	684,777
Less: Allowance for impairment losses	-	(222,150)	-	(222,150)
	1,014,120	2,296,600	226,087	462,627

Movement on the provision for impairment of other receivables:

	Group/Company	
	2015	2014
	RM	RM
At 1 January	222,150	-
Additional during the financial year	-	222,150
Written off during the financial year	(222,150)	-
At 31 December	-	222,150

9. AMOUNT OWING BY/(TO) SUBSIDIARY COMPANIES

These amounts are non-trade in nature, unsecured, interest-free and are repayable on demand.

10. AMOUNT OWING BY A RELATED COMPANY

This amount is non-trade in nature, unsecured, interest-free and is repayable on demand.

11. AMOUNT OWING BY HOLDING COMPANY

(a) The holding company is N2N Connect Holdings Sdn. Bhd., a company incorporated in Malaysia.

(b) This is non-trade in nature, unsecured, interest-free and is repayable on demand.

12. MARKETABLE SECURITIES

	Group/Company	
	2015	2014
	RM	RM
Held for trading investment		
Quoted unit trusts in Malaysia	85,751,511	86,537,742

13. FINANCIAL ASSETS AT FAIR VALUE TROUGH PROFIT OR LOSS

	Group/Company	
	2015	2014
	RM	RM
Quoted shares in Malaysia	4,467,108	-

Changes in fair values of financial assets at fair value through profit or loss amounting to a loss of RM681,097 (2014: Nil) is presented within administrative expenses in profit or loss.

14. DEPOSITS PLACED WITH LICENSED BANKS

Interest rates on deposits placed with licensed banks range from 3.24% to 3.56% (2014: 3.70% to 4.03%) per annum and have average maturity period of 1 to 180 days (2014: 1 to 180 days).

15. TRADE PAYABLES

The normal trade credit terms granted to the Group and the Company range from 15 to 90 days (2014: 15 to 90 days).

16. OTHER PAYABLES

	Group		Company	
	2015	2014	2015	2014
	RM	RM	RM	RM
Other payables	416,902	416,849	88,374	132,952
Accruals	2,148,544	1,886,823	385,118	305,829
Deposits received	425,935	441,038	425,935	441,038
	2,991,381	2,744,710	899,427	879,819

17. AMOUNT OWING TO DIRECTORS

These amounts are non-trade in nature, unsecured, interest-free and are repayable on demand.

18. BANK BORROWINGS

	Group		Company	
	2015	2014	2015	2014
	RM	RM	RM	RM
Secured				
Term loan	4,282,470	4,986,870	4,282,470	4,986,870
Finance lease liabilities	37,669	61,375	-	-
	4,320,139	5,048,245	4,282,470	4,986,870

	Group		Company	
	2015	2014	2015	2014
	RM	RM	RM	RM
Analysed as:				
Repayable within twelve months				
Term loan	704,400	704,400	704,400	704,400
Finance lease liabilities	24,850	23,707	-	-
	729,250	728,107	704,400	704,400
Repayable after twelve months				
Term loan	3,578,070	4,282,470	3,578,070	4,282,470
Finance lease liabilities	12,819	37,668	-	-
	3,590,889	4,320,138	3,578,070	4,282,470
	4,320,139	5,048,245	4,282,470	4,986,870

The above credit facilities obtained from a licensed bank are secured on the following:

(a) fixed charge on the Group and Company's long term leasehold land and building and investment properties as disclosed in Notes 3 and 4 to the financial statements;

(b) assignment of Rental Account and Rental Income arising from the investment properties;

(c) assignment of Revenue Account and Revenue Proceeds arising from the investment properties; and

(d) assignment of property purchase agreement and property power of attorney over the long term leasehold land and building and investment properties as disclosed in Notes 3 and 4 to the financial statements.

Maturity of borrowings is as follows:

	Group		Company	
	2015	2014	2015	2014
	RM	RM	RM	RM
Within one year	729,250	728,107	704,400	704,400
Between one and two years	717,219	729,250	704,400	704,400
Between two and five years	2,113,200	2,126,018	2,113,200	2,113,200
After five years	760,470	1,464,870	760,470	1,464,870
	4,320,139	5,048,245	4,282,470	4,986,870

Range of interest rates during the financial year is as follows:

	Group		Company	
	2015	2014	2015	2014
	RM	RM	RM	RM
Term loan	6.60	6.60	6.60	6.60
Finance lease liabilities	4.61	4.61	-	-

19. SHARE CAPITAL

	Group/Company			
	2015	2014	2015	2014
	Number of Ordinary Shares		RM	RM
Ordinary shares of RM0.10 each:				
Authorised				
At 1 January	1,000,000,000	500,000,000	100,000,000	50,000,000
Created during the financial year	-	500,000,000	-	50,000,000
At 31 December	1,000,000,000	1,000,000,000	100,000,000	100,000,000
Issued and fully paid				
At 1 January	439,686,667	304,074,800	43,968,667	30,407,480
Issued during the financial year	23,902,500	135,611,867	2,390,250	13,561,187
At 31 December	463,589,167	439,686,667	46,358,917	43,968,667

During the financial year, the issued and paid-up share capital of the Company was increased from RM43,968,667 to RM46,358,917 by way of the issuance of:

(a) 3,817,300 and 18,889,800 new ordinary shares of RM0.10 each for cash pursuant to the Company's Employee Share Option Scheme at weighted average exercise price of RM0.18 per ordinary share and RM0.22 per ordinary share, respectively;

(b) 1,195,400 new ordinary shares of RM0.10 each for cash pursuant to the exercise of Warrants at an exercise price of RM0.38 per ordinary share; and

The new ordinary shares issued during the financial year rank pari passu in all respects with the existing ordinary shares of the Company.

20. TREASURY SHARES

	Group/Company	
	2015	2014
	RM	RM
At 1 January	4,881,241	1,656,911
Shares purchased during the financial year	1,023,521	3,226,684
Shares resold during the financial year	(5,904,762)	(2,354)
At 31 December	-	4,881,241
No. of ordinary shares at RM0.10 each	-	7,380,500

During the financial year, the Company had purchased a total of 1,260,900 (2014: 3,863,300) ordinary shares of its issued share capital from the open market at a total cost of RM1,023,521 (2014: RM3,226,684). The average price paid for the shares purchased was RM0.81 (2014: RM0.83) per share. The repurchase transactions were financed by internally generated funds. The repurchased shares are held as treasury shares and carried at cost in accordance with the requirements of section 67A of the Companies Act, 1965.

During the financial year, the Company has resold a total of 8,641,400 (2014: 5,000) treasury shares to the open market for total net consideration received of RM8,553,950 (2014: RM2,354) at an average resale price of RM0.99 (2014: RM0.52) per share. Treasury shares had no rights to voting, dividends and participation in other distribution.

21. RESERVES

	Group		Company	
	2015	2014	2015	2014
	RM	RM	RM	RM
Non-distributable				
Foreign currency translation reserve	727,858	309,075	-	-
Warrants reserve	1,653,841	1,677,749	1,653,841	1,677,749
	2,381,699	1,986,824	1,653,841	1,677,749

(a) Foreign currency translation reserve

The foreign currency translation reserve represents exchange differences arising from the translation of the financial statements of foreign operations whose functional currencies are different from that of the Group's presentation currency.

(b) Warrant reserve

On 9 April 2013, the Company issued 99,923,600 Warrants 2013/2018 ("Warrants") at an issue price of RM0.02 each pursuant to a renounceable rights issue of one warrant for every three existing ordinary shares of RM0.10 each held in the Company. The Warrants are constituted by a deed poll dated 5 March 2013. The warrants were listed on Bursa Malaysia on 11 April 2013. During the financial year, a total of 1,195,400 Warrants were exercised. As at 31 December 2015, there was a total of 82,692,035 (2014: 83,887,435) unexercised Warrants.

The main features of the Warrants are as follows:

- Each Warrant entitles the registered holder at any time during the exercise period to subscribe for one new ordinary share of RM0.10 each in the Company at an exercise price of:

  (a) RM0.32 per ordinary share (immediately preceding the first anniversary of the issuance of the Warrants);
  (b) RM0.38 per ordinary share (from the first anniversary of the issuance of the Warrants up to the date immediately preceding the third anniversary of the issuance of the Warrants); and
  (c) RM0.45 per ordinary share (from the third anniversary of the issuance of the Warrants up to and including the expiry date of the Warrants)

- The exercise price and the number of Warrants are subject to adjustment in the event of alteration to the share capital, bonus issue, capital distribution and rights issue by the Company in accordance with the conditions provided in the deed poll.

- The Warrants shall be exercisable at any time within the period commencing on and including the date of issue of the Warrants and ending on the date preceding the fifth anniversary of the date of issue of the Warrants.

- Upon exercise of the Warrants into new ordinary shares, such shares shall rank pari passu in all respects with the ordinary shares of the Company in issue at the time of exercise except that they shall not be entitled to any dividend or other distributions declared in respect of a financial period prior to the financial period in which the Warrants are exercised or any interim dividend declared prior to the date of exercise of the Warrants.

- At the expiry of the exercise period, any Warrants which have not been exercised will lapse and cease to be valid for any purposes.

22. DEFERRED TAX LIABILITIES

	Group		Company	
	2015	2014	2015	2014
	RM	RM	RM	RM
At 1 January	243,718	243,718	-	-
Recognised in profit or loss:				
- property, plant and equipment	825,267	-	1,137,913	-
- unutilised tax losses	194,912	-	-	-
- unabsorbed capital allowance	286,946	-	-	-
- provision and others	(231,992)	-	180,938	-
	1,075,133	-	1,318,851	-
At 31 December	1,318,851	243,718	1,318,851	-

The components of deferred tax assets and liabilities of the Group and the Company during the financial year prior to offsetting are as follows:

	Group		Company	
	2015	**2014**	**2015**	**2014**
	RM	**RM**	**RM**	**RM**
Deferred tax assets:				
- unutilised tax losses	-	194,912	-	-
- unabsorbed capital allowances	185,650	472,596	185,650	-
- provision and others	18,835	6,358	18,835	-
	204,485	673,866	204,485	-
Offsetting	(204,485)	(673,866)	(204,485)	-
Net deferred tax assets	-	-	-	-
Deferred tax liabilities:				
- property, plant and equipment	1,323,563	498,296	1,323,563	-
- others	199,773	419,288	199,773	-
	1,523,336	917,584	1,523,336	-
Offsetting	(204,485)	(673,866)	(204,485)	-
Net deferred tax liabilities	1,318,851	243,718	1,318,851	-

The deductible temporary difference and unutilised tax losses of the Group for which no deferred tax assets were recognised in the statements of financial position are as follow:

	Group	
	2015	**2014**
	RM	**RM**
Deductible temporary differences	84,026	-
Unutilised tax losses	3,090,076	2,869,348
Unabsorbed capital allowance	999,486	674,495
	4,173,588	3,543,843
Deferred taxation not recognised at 24% (2014: 25%)	1,001,661	885,961

The Group has not recognised the deferred tax liabilities for the following items:

	Group	
	2015	**2014**
	RM	**RM**
Deferred tax liabilities:		
- property, plant and equipment	759,908	-
Deferred taxation not recognised at 24% (2014: 25%)	182,378	-

The directors are of the opinion that the deferred tax liabilities will not crystallise in the foreseeable future as the business operations of which the deferred tax liabilities arose are operated by subsidiaries companies of which pioneer status has been granted for a five year period.

23. REVENUE

	Group		Company	
	2015	**2014**	**2015**	**2014**
	RM	**RM**	**RM**	**RM**
Application solutions	20,139,487	18,707,107	5,827,459	12,210,992
Financial network services	18,762,213	15,532,205	697,762	870,066
	38,901,700	34,239,312	6,525,221	13,081,058

24. PROFIT BEFORE TAXATION

Profit before taxation is derived after charging/(crediting):

	Group		Company	
	2015	2014	2015	2014
	RM	RM	RM	RM
Allowance for impairment loss on other receivables	-	222,150	-	222,150
Amortisation of intangible asset	2,468,934	2,173,540	2,000,310	1,837,137
Auditors' remuneration				
- statutory	77,981	50,290	36,000	20,000
- under provision in prior year	-	13,000	-	13,000
- other	5,000	5,000	5,000	5,000
Depreciation of property, plant and equipment	3,983,180	3,510,659	1,084,302	924,452
Depreciation of investment properties	280,038	280,036	280,038	280,036
Directors' remuneration				
- fees	317,341	105,860	317,341	105,860
- salaries and other emoluments	3,024,306	1,961,086	245,132	232,120
- defined contribution plan	128,196	122,141	18,228	27,864
Bad debts written off	302,095	-	137,512	-
Rental of premises	246,566	218,720	-	-
Foreign exchange loss/(gain)				
- Realised	(98,182)	8,112	(6,037)	3,985
- Unrealised	(210,762)	-	(832,389)	-
Fair value change on financial assets at fair value through profit or loss	681,097	-	681,097	-
Interest expense	319,626	997,405	317,293	995,810
Interest income	(71,239)	(75,954)	(33,752)	(63,596)
Dividend income	(2,565,438)	(1,445,782)	(2,565,438)	(1,445,782)
Rental income	(1,843,461)	(1,324,785)	(1,843,461)	(1,324,785)
Management fee received/receivable from subsidiary companies	-	-	(685,264)	(1,018,106)

25. TAXATION

	Group		Company	
	2015	2014	2015	2014
	RM	RM	RM	RM
Current tax:				
- Current year provision	12,406	33,000	8,439	33,000
- Under/(Over) provision in prior year	18,988	16,991	15,899	(43,145)
	31,394	49,991	24,338	(10,145)
Deferred taxation:				
- Original and reversal of temporary differences	1,075,133	-	1,318,851	-
Taxation for the financial year	1,106,527	49,991	1,343,189	(10,145)

Domestic income tax is calculated at the Malaysian statutory tax rate of 25% (2014: 25%) of the estimated assessable profit for the financial year. Taxation for other jurisdictions is calculated at the rates prevailing in the respective jurisdictions. The Malaysian statutory tax rate will be reduced to 24% from the current rate of 25% effective from year of assessment 2016.

A reconciliation of income tax expense applicable to profit before taxation at the statutory income tax rate to income tax expense at the effective income tax rate of the Group and of the Company are as follows:

	Group		Company	
	2015	2014	2015	2014
	RM	RM	RM	RM
Profit before taxation	10,402,518	7,091,313	1,646,507	5,294,762
Taxation at statutory tax rate of 25% (2014: 25%)	2,600,630	1,772,828	411,627	1,323,691
Effect of changes in tax rate	(54,952)	-	(54,952)	-
Expenses not deductible for tax purposes	844,212	755,694	399,878	477,783
Origination of deferred tax arising from expiry of Pioneers status	1,312,438	-	1,312,438	-
Tax incentive arising from pioneer status	(3,110,790)	(1,074,792)	-	(1,074,792)
Income not subject to tax	(475,399)	(693,682)	(741,701)	(693,682)
Deferred tax assets not recognised	157,436	-	-	-
Deferred tax liabilities not recognised due to Pioneer Status	(174,029)	-	-	-
Change in unrecognised deferred tax assets	(59,441)	(732,907)	-	-
Effect of different tax rates in other country	47,434	5,859	-	-
Under/(Over) provision of current taxation in prior year	18,988	16,991	15,899	(43,145)
Taxation for the financial year	1,106,527	49,991	1,343,189	(10,145)

26. EARNINGS PER SHARE

(a) Basic earnings per share

The earnings per share has been calculated based on the consolidated profit after taxation for the financial year attributable to owners of the Company of RM9,367,036 (2014: RM7,041,322) for the Group and the adjusted weighted average number of ordinary shares in issue during the financial year of 440,426,280 (2014: 371,400,510).

	Group	
	2015	2014
	RM	RM
Profit for the financial year attributable to the owners of the Company	9,367,036	7,041,322
Weighted number of ordinary share issued	440,426,280	371,400,510
Basic earnings per share (sen)	2.13	1.90

(b) Diluted earnings per share

Diluted earnings per share has been calculated based on the consolidated profit after taxation for the financial year attributable to owners of the Company of RM9,367,036 (2014: RM7,041,322) for the Group and the adjusted weighted average number of ordinary shares issued and issuable of 484,404,180 (2014: 441,590,814).

	Group	
	2015	**2014**
	RM	**RM**
Profit for the financial year attributable to the owners of the Company	9,367,036	7,041,322
Weighted number of ordinary shares in issue	440,426,280	371,400,510
Adjusted for:		
Assumed exercise of ESOS at no consideration	-	17,143,247
Assumed exercise of Warrants at no consideration	43,977,900	53,047,057
	484,404,180	441,590,814
Diluted earnings per share (sen)	1.93	1.59

27. DIVIDENDS

	Group/Company	
	2015	**2014**
	RM	**RM**
Dividend paid in respect of financial year ended 31 December 2015/2014:		
First interim single tier exempt dividend of 1 sen (2014: 1.5 sen) per ordinary share	4,314,476	4,706,241
Second interim single tier exempt dividend of Nil (2014: 0.7 sen) per ordinary share	-	3,046,323
	4,314,476	7,752,564

The Company paid a second interim single tier tax exempt dividend of 1 sen per ordinary share of RM0.10 each amounting to RM4,646,802 in respect of the financial year ended 31 December 2015 on 31 March 2016. The financial statements for the current financial year do not reflect the effects of the second interim dividend. Such dividend, will be accounted for in equity as appropriation of retained earnings in the financial year ending 31 December 2016.

28. EMPLOYEE SHARE OPTION SCHEME

The N2N Connect Berhad ("N2N") Employee Share Option Scheme ("ESOS") was approved by shareholders at the General Meetings on 13 October 2005 and 18 October 2005. The ESOS was implemented on 23 November 2005 and shall be in force for a period of 5 years from the date of implementation. Pursuant to the Board's approval on 24 August 2010, the tenure of the ESOS has been extended for a further 5 years. The ESOS expired on 22 December 2015.

The main features of the ESOS which is constituted under the by-laws are as follows:

(a) The total number of new ordinary shares which may be made available under the ESOS shall not exceed 10% of the total issued and paid-up share capital of the Company at any point in time during the tenure of the ESOS.

(b) All employees and Directors of the Group shall be eligible to participate in the ESOS, if, as at the offer date, the employee or Director:

(i) has attained the age of eighteen (18) years; and

(ii) is employed by and is on the payroll of a company within the Group or a Director of any of the companies within the Group;

Any allocation of options under the ESOS to any person who is a Director of the Company shall require prior approval from the shareholders of the Company in a general meeting.

(c) The number of new shares that may be offered and allotted to any of the eligible employees of the Group who are entitled to participate in the ESOS shall be at the discretion of the Option Committee after taking into consideration the position, performance and contribution to the Group, seniority and length of service of the eligible employee in the Group subject to the following:

(i) the number of new shares allocated, in aggregate, to the Directors and senior management of the Group shall not exceed 50% of the total new shares available under the ESOS;

(ii) the number of shares allocated to an eligible employee who either individually or collectively through persons connected with the eligible employee holds 20% or more of the issued and paid up share capital of the Company, shall not exceed 10% of the total new shares available under the ESOS.

(d) The option price shall be determined at a discount of not more than 10% from the weighted average market price of the Company's ordinary shares of RM0.10 each for five (5) market days preceding the date of offer, or the par value of the shares, whichever is higher. In the event the ESOS is made to the eligible employees prior to the admission of the Company on the Malaysian Exchange of Securities Dealing & Automated Quotation ("MESDAQ") Market of Bursa Malaysia Securities Berhad ("Bursa Securities"), subsequently transformed into the ACE Market, the option price shall be the higher of the theoretical ex-bonus price after the public issue and bonus issue of RM0.41 or the par value of the shares.

(e) The ESOS shall come into force for a duration of ten (10) years from the effective date 23 November 2005.

(f) The new shares to be allotted upon any exercise of the options shall upon issue and allotment rank pari passu in all respects with the existing ordinary shares of the Company save and except that the new shares will not be entitled to participate in any dividends, rights, allotments and/or other distributions that may be declared, where the entitlement date precedes the said date of allotment and issuance as stipulated therein.

(g) The option is personal to the grantee and is non-assignable.

(h) A Grantee shall exercise his options by notice in writing to the Company in the prescribed form stating the number of options exercised, the number of shares relating thereto and the Grantee's individual/nominee CDS account number. The options shall be exercised in multiples of and not less than one hundred (100) options. The exercise by a Grantee of some but not all of the options which have been offered to and accepted by him shall not preclude the Grantee from subsequently exercising any other options which have been or will be offered to and accepted by him, during the option period.

Movements in the number of share options outstanding and their related weighted average exercise prices ("WAEP") are as follows:

	Number of share options					
	At 1 January	**Granted**	**Exercised**	**Lapsed**	**At 31 December**	**Exercisable at 31 December**
2015						
First Grant	3,817,300	-	(3,817,300)	-	-	-
Second Grant	18,889,800	-	(18,889,800)	-	-	-
Total	22,707,100	-	(22,707,100)	-	-	-
WAEP	0.213	-	0.213	-	-	-
2014						
First Grant	3,850,300	-	(33,000)	-	3,817,300	3,817,300
Second Grant	19,440,400	-	(550,600)	-	18,889,800	18,889,800
Total	23,290,700	-	(583,600)	-	22,707,100	22,707,100
WAEP	0.213	-	0.218	-	0.213	0.213

Details of share options outstanding at end of the financial year are as follows:

Share Options	Exercise price RM	Exercise Period
2015		
First Grant	0.180	23.11.2005 - 22.11.2015
Second Grant	0.220	23.12.2005 - 22.12.2015
2014		
First Grant	0.180	23.11.2005 - 22.11.2015
Second Grant	0.220	23.12.2005 - 22.12.2015

As allowed by the transitional provisions in MFRS 2 "Share-Based Payment", the recognition and measurement principles have not been applied to these grants.

29. STAFF INFORMATION

		Group		Company	
		2015	2014	2015	2014
	Note	RM	RM	RM	RM
Staff costs (excluding Directors) comprise:					
Charged to profit or loss		6,294,968	6,185,313	2,601,672	2,676,957
Capitalised in intangible asset	6	4,345,226	3,354,100	3,760,469	2,923,410
Total staff costs for the financial year		10,640,194	9,539,413	6,362,141	5,600,367

Included in the total staff costs above are contributions made to the Employees Provident Fund under a defined contribution plan for the Group and for the Company amounting to RM992,758 and RM513,620 (2014: RM948,156 and RM560,396) respectively.

30. SEGMENTAL INFORMATION

Segment information is primarily presented in respect of the Group's business segment which is based on the Group's management and internal reporting structure. Management monitors the operating results of its business segment separately for the purposes of making decision about resource allocation and performance assessment.

(a) Business segment

The principal businesses of the Group are carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities which are substantially within a single business segment. As such, segmental reporting by business segment is deemed not necessary. Accordingly the information regarding its financial position and results is represented by the financial statements as a whole.

(b) Geographical segments

(i) Revenue by geographical location of customers

	Group	
	2015	**2014**
	RM	**RM**
Malaysia	32,141,130	27,817,936
Singapore	5,399,979	6,192,478
Indonesia	40,094	169,569
Philippine	1,320,497	59,329
	38,901,700	34,239,312

(ii) Non-current assets by geographical location of assets are as follows:

	Group	
	2015	**2014**
	RM	**RM**
Malaysia	60,451,426	57,087,692
Singapore	820,086	1,144,635
	61,271,512	58,232,327

(c) Information about major customers

Revenue from 2 (2014: 2) major customers amount to RM14,842,711 (2014: RM13,453,430).

31. CAPITAL MANAGEMENT

The primary objective of the Group's capital management is to maintain an adequate capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business.

The Group monitors capital using gearing ratio, which is total equity plus net debt. The Group's policy is to keep the lower gearing ratio. The Group includes within net debt, trade and other payables, bank borrowings less cash and bank balances.

	Group		Company	
	2015	2014	2015	2014
	RM	RM	RM	RM
Trade and other payables	6,286,704	4,282,694	1,122,958	1,244,543
Bank borrowings	4,320,139	5,048,245	4,282,470	4,986,870
Less: cash and cash equivalents	(24,871,069)	(10,792,709)	(13,046,220)	(7,287,878)
Net (liquidity)/debt	(14,264,226)	(1,461,770)	(7,640,792)	(1,056,465)
Total equity	177,074,973	158,183,124	169,657,351	160,836,958
Capital and net debt	162,810,747	156,721,354	162,016,559	159,780,493
Gearing ratio	N/A	N/A	N/A	N/A

There were no changes to the Group's approach to capital management during the financial year.

32. FINANCIAL INSTRUMENTS

The table below provides an analysis of financial instruments and their categories:

	Fair value through profit or loss	Loans and receivables/ other financial liabilities	Total
	RM	RM	RM
2015			
Group			
Financial assets			
Trade and other receivables	-	11,833,015	11,833,015
Amount owing by holding company	-	15,289	15,289
Amount owing by related company	-	101,600	101,600
Marketable securities	-	85,751,511	85,751,511
Financial assets at fair value through profit or loss	4,467,108	-	4,467,108
Cash and cash equivalents	-	24,871,069	24,871,069
	4,467,108	122,572,484	127,039,592

	Fair value through profit or loss	Loans and receivables/ other financial liabilities	Total
	RM	RM	RM
2015			
Group			
Financial liabilities			
Trade and other payables	-	4,138,160	4,138,160
Borrowings	-	4,320,139	4,320,139
	-	8,458,299	8,458,299
Company			
Financial assets			
Trade and other receivables	-	908,520	908,520
Amount owing by subsidiary companies	-	21,363,667	21,363,667
Amount owing by a related company	-	134,120	134,120
Marketable securities	-	85,751,511	85,751,511
Financial assets at fair value through profit or loss	4,467,108	-	4,467,108
Cash and cash equivalents	-	13,046,220	13,046,220
	4,467,108	121,204,038	125,671,146
Financial liabilities			
Trade and other payables	-	737,840	737,840
Amount owing to a subsidiary company	-	1,933,302	1,933,302
Borrowings	-	4,282,470	4,282,470
	-	6,953,612	6,953,612
2014			
Group			
Financial assets			
Trade and other receivables	-	11,310,775	11,310,775
Amount owing by a related company	-	16,434	16,434
Marketable securities	-	86,537,742	86,537,742
Cash and cash equivalents	-	10,792,709	10,792,709
	-	108,657,660	108,657,660

	Fair value through profit or loss	Loans and receivables/ other financial liabilities	Total
	RM	RM	RM
2014			
Group			
Financial liabilities			
Trade and other payables	-	2,395,871	2,395,871
Amount owing to Directors	-	39,078	39,078
Borrowings	-	5,048,245	5,048,245
	-	7,483,194	7,483,194
Company			
Financial assets			
Trade and other receivables	-	813,344	813,344
Amount owing by subsidiary companies	-	21,755,728	21,755,728
Amount owing by a related company	-	8,570	8,570
Marketable securities	-	86,537,742	86,537,742
Cash and cash equivalents	-	7,287,878	7,287,878
	-	116,403,262	116,403,262
Financial liabilities			
Trade and other payables	-	938,714	938,714
Amount owing to subsidiary company	-	1,215,475	1,215,475
Amount owing to Directors	-	39,078	39,078
Borrowings	-	4,986,870	4,986,870
	-	7,180,137	7,180,137

Financial risk management

The Group's financial risk management policy is to ensure that adequate financial resources are available for the development of the Group's operations whilst managing its financial risks, including credit risk, liquidity risk and market risk.

Credit risk

Credit risk is the risk of a financial loss to the Group if a counterparty of a financial asset fails to meet its contractual obligations. The Group's exposure to credit risk arises mainly from receivables from customers.

Management has a credit policy in place and the exposure to credit risk is monitored on an ongoing basis through the review of receivables ageing. At reporting date, there were no significant concentrations of credit risk other than disclosed in Note 7.

Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group's exposure to liquidity risk arises principally from trade and other payables and borrowings.

Cash flow forecasting is performed by monitoring the Group's liquidity requirements to ensure that it has sufficient liquidity to meet operational, financing repayments and other liabilities as they fall due.

The table below summarises the maturity profile of the Group and the Company's financial liabilities as at the end of the reporting period based on contractual undiscounted payments:

	Carrying amount	Contractual interest rate	Contractual cash flow	On demand or within one year	One to five years	More than five years
	RM	%	RM	RM	RM	RM
2015						
Group						
Trade payables	3,295,323	-	3,295,323	3,295,323	-	-
Other payables	842,837	-	842,837	842,837	-	-
Bank borrowings	4,282,470	6.60	5,147,619	966,024	3,392,105	789,490
Finance lease liabilities	37,669	4.61	39,025	26,040	12,985	-
	8,458,299		9,324,804	5,130,224	3,405,090	789,490
Company						
Trade payables	223,531	-	223,531	223,531	-	-
Other payables	514,309	-	514,309	514,309	-	-
Amount owing to subsidiary company	1,933,302	-	1,933,302	1,933,302	-	-
Bank borrowings	4,282,470	6.60	5,147,619	966,024	3,392,105	789,490
	6,953,612		7,818,761	3,637,166	3,392,105	789,490

	Carrying amount	Contractual interest rate	Contractual cash flow	On demand or within one year	One to five years	More than five years
	RM	%	RM	RM	RM	RM
2014						
Group						
Trade payables	1,537,984	-	1,537,984	1,537,984	-	-
Other payables	857,887	-	857,887	857,887	-	-
Amount owing to Directors	39,078	-	39,078	39,078	-	-
Bank borrowings	4,986,870	6.60	6,172,039	1,024,421	3,578,568	1,569,050
Finance lease liabilities	61,375	4.61	65,065	26,040	39,025	-
	7,483,194		8,672,053	3,485,410	3,617,593	1,569,050
Company						
Trade payables	364,724	-	364,724	364,724	-	-
Other payables	573,990	-	573,990	573,990	-	-
Amount owing to subsidiary company	1,215,475	-	1,215,475	1,215,475	-	-
Amount owing to a Directors	39,078	-	39,078	39,078	-	-
Bank borrowings	4,986,870	6.60	6,172,039	1,024,421	3,578,568	1,569,050
	7,180,137		8,365,306	3,217,688	3,578,568	1,569,050

Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and cash flow and fair value interest rate risk that may affect the Group's financial position and cash flows.

(a) Foreign currency exchange risk

The Group and the Company is exposed to foreign currency risk on sales and purchases that are denominated in a currency other than Ringgit Malaysia. The currency giving rise to this risk is primarily Singapore Dollar, US Dollar and Indonesia Rupiah. The Group and the Company monitors the foreign currency risks on an ongoing basis.

The net unhedged financial assets and financial liabilities of the Group and the Company that are not denominated in their functional currencies are as follows:

	Financial Assets/(Liabilities) Held in Non-Functional Currency		
Functional Currency	**US Dollar**	**Indonesia Rupiah**	**Total**
	RM	**RM**	**RM**
Group			
2015			
Trade receivables			
Ringgit Malaysia	1,638,690	102,822	1,741,512
Trade payables			
Ringgit Malaysia	(54,287)	-	(54,287)
2014			
Trade receivables			
Ringgit Malaysia	754,610	57,608	812,218
Trade payables			
Ringgit Malaysia	(54,635)	-	(54,635)
Company			
2015			
Amount owing by subsidiary company			
Ringgit Malaysia	5,802,072	-	5,802,072
2014			
Amount owing by subsidiary company			
Ringgit Malaysia	5,067,309	-	5,067,309

Currency risk sensitivity analysis

The following table shows the sensitivity of the Group and the Company's equity and loss net of tax to a reasonably possible change in the Singapore Dollar, US Dollar and Indonesia Rupiah exchange rates against the functional currency of the Company, with all other variables remain constant.

		Group		Company	
		Profit net of tax		Profit net of tax	
		2015	2014	2015	2014
		RM	RM	RM	RM
SGD/RM	-strengthened 5%	-	-	217,578	190,024
	-weakened 5%	-	-	(217,578)	(190,024)
USD/RM	-strengthened 5%	59,415	26,249	-	-
	-weakened 5%	(59,415)	(26,249)	-	-
IDR/RM	-strengthened 10%	3,856	2,160	-	-
	-weakened 10%	(3,856)	(2,160)	-	-

(b) *Interest rate risk*

The Group's and the Company's income and operating cash flows are substantially independent of changes in market interest rates. Interest rate exposure arises from the Group's and the Company's borrowings and deposits.

Exposure to interest rate risk

The interest rate profile of the Group's and the Company's significant interest-bearing financial instruments, based on carrying amounts as at the end of the financial year are as follows:

	Group		Company	
	2015	2014	2015	2014
	RM	RM	RM	RM
Fixed rate instruments				
Deposits with licensed banks	6,314,080	6,286,945	6,314,080	6,286,945
Finance lease liabilities	(37,669)	(61,375)	-	-
	6,276,411	6,225,570	6,314,080	6,286,945
Floating rate instruments				
Bank borrowings	(4,282,470)	(4,986,870)	(4,282,470)	(4,986,870)

Interest rate risk sensitivity analysis

Since the Group and the Company's fixed rate financial assets and liabilities are measured at amortised cost, possible changes in interest rates are not expected to have a significant impact on the Group and the Company's profit or loss.

A change of 50 basis points ("bp") in floating interest rates at the end of the reporting period would have increase/(decrease) profit net of tax by the amounts shown below, assuming all other variables remain constant.

	Group/Company	
	2015	2014
	RM	RM
Profit net of tax		
50 bp increase	(16,059)	(18,701)
50 bp decrease	16,059	18,701

Fair value information

The carrying amounts of cash and cash equivalents, short term receivables and payables and short term borrowings reasonably approximate their fair values due to the relatively short term nature of these financial instruments.

The carrying amount of long term borrowings carried on the statement of financial position reasonably approximate fair value as it is a floating rate instrument that is re-priced to market interest rates on or near the reporting date.

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

- Level 1 : Quoted prices in active markets for identical assets or liabilities.
- Level 2 : Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.
- Level 3 : Inputs for the asset or liability that is not based on observable market data.

The following table analyses the fair value hierarchy for financial instruments carried at fair value in the statement of financial position:

	2015	2014
	Level 1 Fair Value	Level 1 Fair Value
	RM	RM
Group / Company		
Financial assets		
Financial assets at fair value through profit or loss	4,467,108	-

33. RELATED PARTY DISCLOSURES

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Company has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Company and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

(a) The significant related party transactions of the Company, other than key management personnel compensation, are as follows:

	Group	
	2015	**2014**
	RM	**RM**
Subcontract fee received/receivable from related company:		
- Netinfinium Solutions Sdn. Bhd.	90,826	12,349
Rental income received/receivable from related company:		
- Netinfinium Solutions Sdn. Bhd.	54,000	17,280
Management fees received/receivable from related company:		
- Netinfinium Solutions Sdn. Bhd.	60,000	60,000

	Company	
E-Broker fees received/receivables from subsidiary companies:		
- N2N Global Solutions Sdn. Bhd.	2,757,683	8,512,161
- N2N Connect Pte. Ltd.	-	555,930
Management fees received/receivable from subsidiary companies:		
- NGN Connection Sdn. Bhd.	625,264	1,018,107
- Influx Biotech Sdn. Bhd.	60,000	-
Rental income received/receivable from subsidiary companies:		
- N2N Global Solutions Sdn. Bhd.	237,807	32,283
- NGN Connection Sdn. Bhd.	108,000	-
- Influx Biotech Sdn. Bhd.	24,000	-
Subcontractor fees received/receivable from subsidiary companies:		
- N2N Global Solutions Sdn. Bhd.	255,615	114,503
- NGN Connection Sdn. Bhd.	69,917	27,931
- Influx Biotech Sdn Bhd.	111,983	-
Professional fees paid/payable to a subsidiary company:		
- N2N Connect Pte. Ltd.	(99,644)	(278,964)

(b) Information regarding outstanding balances arising from related party transactions as at the end of the reporting period are disclosed in Notes 9, 10, 11 and 17 to the financial statements.

(c) Key management personnel are defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Group either directly or indirectly. The key management personnel include all the Directors of the Group, and certain members of senior management of the Group.

Information regarding the compensation of key management personnel is as follows:

	Group		Company	
	2015	2014	2015	2014
	RM	RM	RM	RM
Short-term employee benefits	3,469,842	2,604,383	580,700	365,844

(d) Executive directors of the Group and the Company and other members of key management have been granted the following number of options under the ESOS:

	Number of share options				
	At 1 January	Granted	Exercised	At 31 December	Exercisable at 31 December
2015					
First Grant	2,102,600	-	(2,102,600)	-	-
Second Grant	9,400,000	-	(9,400,000)	-	-
Total	11,502,600	-	(11,502,600)	-	-
WAEP	0.212	-	0.212	-	-
2014					
First Grant	2,102,600	-	-	2,102,600	2,102,600
Second Grant	9,400,000	-	-	9,400,000	9,400,000
Total	11,502,600	-	-	11,502,600	11,502,600
WAEP	0.212	-	-	0.212	0.212

The share options were granted on the same terms and conditions as those offered to other employees of the Group as disclosed in Note 28 to the financial statements.

34. CAPITAL COMMITMENT

	Group	
	2015	2014
	RM	RM
Capital expenditure approved and contracted for	240,000	1,860,000

35. SUBSEQUENT EVENT

On 18 March 2016, N2N Connect Pte Ltd, a wholly-owned subsidiary of the Company had acquired 100% interest in N2N Connect Australia Pty Ltd., comprising 100 ordinary shares of AUD1.00 each for cash consideration of AUD100.00.

36. DATE OF AUTHORISATION FOR ISSUE

The financial statements of the Group and of the Company for the financial year ended 31 December 2015 were authorised for issue in accordance with a resolution of the Board of Directors dated 31 March 2016.

REALISED AND UNREALISED PROFITS/LOSSES (SUPPLEMENTARY INFORMATION)

The breakdown of the accumulated loss of the Group and of the Company as at the end of the reporting period into realised and unrealised amounts is as follows:

	Group	
	2015	**2014**
	RM	**RM**
Total retained earnings of the Group:		
- Realised profits	17,008,702	10,920,597
- Unrealised losses	(37,403)	(203,738)
	16,971,299	10,716,859
Add: consolidation adjustments	(1,035,207)	166,673
	15,936,092	10,883,532

	Company	
	2015	**2014**
	RM	**RM**
Total retained earnings of the Company:		
- Realised profits	10,321,746	13,846,443
- Unrealised losses	(486,463)	-
	9,835,283	13,846,443

The determination of realised and unrealised profits or losses is based on the Guidance on Special Matter No.1, Determination of Realised and Unrealised Profits or Losses in the Contaxt of Disclosure Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, issued by the Institutue of Accountants on 20 December 2010.

The above disclosure of realised and unrealised profits or losses is made solely for complying with the disclosure requirements stipulated in the directive of Bursa Malaysia Securities Berhad and is not made for any other purposes.

LIST OF PROPERTY OF N2N CONNECT BERHAD

As At 31 December 2015

Postal Address	Approximate Age of Building	Tenure/ Date of Acquisition	Remaining Lease Period (Expiry of Lease)	Current Use	Land Area (SQ Feet)	Net Book Value As At 31 December 2015 (RM'000)
Wisma N2N, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur	7 Years	Leasehold/ 3 June 2011	92 Years (16 August 2106)	Corporate Offices	54,059	34,870

ANALYSIS OF SHAREHOLDINGS

As At 31 March 2016

Authorised Share Capital	:	RM100,000,000.00
Issued and Paid-up Capital	:	RM47,099,909.80
Class of Shares	:	Ordinary Shares of RM0.10 each
Voting rights	:	One vote per Ordinary share
No. of shareholders	:	1,096
Treasury shares	:	25,000 Ordinary Shares of RM0.10 each

1. DISTRIBUTION SCHEDULE OF SHAREHOLDERS

No. of Holders	Holdings	Total Holdings	%
41	Less than 100	1,231	0.00
121	100 to 1,000	80,312	0.02
503	1,001 to 10,000	2,803,500	0.60
284	10,001 to 100,000	9,616,200	2.04
144	100,001 to less than 5% of issued shares	200,995,745	42.68
3	5% and above of issued shares	257,477,110	54.67
1,096		470,974,098	100.00

2. LIST OF THIRTY (30) LARGEST SHAREHOLDERS

	Name	No. of Shares	Percentage (%)
1	N2N Connect Holdings Sdn Bhd	135,449,510	28.76
2	CIMSEC Nominees (Asing) Sdn Bhd *Pledged Securities Account for Nikkei Inc*	61,013,800	12.95
3	CIMSEC Nominees (Asing) Sdn Bhd *Pledged Securities Account for Quick Corp*	61,013,800	12.95
4	Lai Su Ping	13,995,644	2.97
5	Amsec Nominees (Asing) Sdn Bhd *KGI Fraser Securities Pte. Ltd. for 28 Holdings Pte. Ltd. (16333)*	13,463,966	2.86
6	Affin Hwang Nominees (Asing) Sdn Bhd *DBS Vickers Secs (S) Pte Ltd for Goh Fuqiang, Kenneth*	13,266,666	2.82
7	Affin Hwang Nominees (Asing) Sdn Bhd *DBS Vickers Secs (S) Pte Ltd for Hayman Holding Limited*	13,040,700	2.77
8	HLB Nominees (Asing) Sdn Bhd *Pledged Securities Account for Ong Nai Pew (Sin 9488-0)*	12,962,933	2.75

	Name	No. of Shares	Percentage (%)
9	Citigroup Nominees (Asing) Sdn Bhd *Exempt An for UBS Switzerland AG (Clients Assets)*	12,960,000	2.75
10	Tiang Boon Hwa	12,397,570	2.63
11	Amsec Nominees (Asing) Sdn Bhd *KGI Fraser Securities Pte. Ltd. for Goh Khoon Lim (45128)*	9,996,300	2.12
12	Wong Lai Yoke	9,703,362	2.06
13	Citigroup Nominees (Tempatan) Sdn Bhd *Employees Provident Fund Board (Am Inv)*	7,164,200	1.52
14	Affin Hwang Nominees (Asing) Sdn Bhd *DBS Vickers Secs (S) Pte Ltd for Avenue Investors Limited*	4,741,600	1.01
15	CIMSEC Nominees (Tempatan) Sdn Bhd *CIMB Bank for Goh Ching Chee (MY0605)*	4,600,000	0.98
16	DB (Malaysia) Nominee (Tempatan) Sendirian Berhad *Deutsche Trustees Malaysia Berhad for Eastspring Investment Growth Fund*	2,236,700	0.47
17	Ming Khing Yih	2,130,000	0.45
18	Ngang Ching Tang	2,095,400	0.44
19	HSBC Nominees (Tempatan) Sdn Bhd *HSBC (M) Trustee Bhd for RHB Smart Treasure Fund*	2,000,000	0.42
20	Lim Kok Tean	1,819,428	0.39
21	Affin Hwang Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Chua Tiong Hoong*	1,700,000	0.36
22	Maybank Nominees (Tempatan) Sdn Bhd *Libra Invest Berhad for Lembaga Kumpulan Wang Amanah Pelaburan Negeri Pulau Pinang (E00560-260218)*	1,652,300	0.35
23	DB (Malaysia) Nominee (Tempatan) Sendirian Berhad *Deutsche Trustees Malaysia Berhad for Eastspring Investment Small – Cap Fund*	1,598,300	0.34
24	Vivian Lea Si-Xiu	1,591,800	0.34
25	Maybank Nominees (Tempatan) Sdn Bhd *Maybank Trustees Berhad for RHB Dynamic Fund (200188)*	1,446,000	0.31
26	RHB Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Chan See Wai*	1,400,000	0.30
27	Malacca Equity Nominees (Tempatan) Sdn Bhd *Exempt An for Phillip Capital Management Sdn Bhd*	1,285,700	0.27
28	Liew Kim Loong	1,283,200	0.27
29	Amsec Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ling Yun Hwee @ Lim Bee Hong*	1,255,000	0.27
30	Maybank Nominees (Tempatan) Sdn Bhd *Maybank Trustees Berhad for Libra Tacticalextra Fund (250082)*	1,175,100	0.25
		410,438,979	87.15

3. LIST OF SUBSTANTIAL SHAREHOLDERS

	Names	No. of Shares (Direct)	Percentage (%)	No. of Shares (Indirect)	Percentage (%)
1	N2N Connect Holdings Sdn Bhd	135,449,510	28.76	-	-
2	CIMSEC Nominees (Asing) Sdn Bhd *Pledged Securities Account for Nikkei Inc*	61,013,800	12.95	-	-
3	CIMSEC Nominees (Asing) Sdn Bhd *Pledged Securities Account for Quick Corp*	61,013,800	12.95	-	-
4	Tiang Boon Hwa	12,918,944	2.74	149,445,154(1)	31.73
5	Lai Su Ping	13,995,644	2.97	148,368,454(2)	31.50

4. DIRECTOR'S INTEREST IN SHARES IN THE COMPANY AND ITS RELATED COMPANIES

	Names	No. of Shares (Direct)	Percentage (%)	No. of Shares (Indirect)	Percentage (%)
1	Tiang Boon Hwa	12,918,944	2.74	149,445,154(1)	31.73
2	Lai Su Ping	13,995,644	2.97	148,368,454(2)	31.50
3	Chua Tiong Hoong	3,029,354	0.64	14,000(3)	0.00
4	Tan Boon Leng	1,232,700	0.26	329,600(4)	0.07
5	Goh Fuqiang, Kenneth	13,266,666	2.82	-	-
6	Tetsuya Iguchi	-	-	-	-
7	Akio Furuse	-	-	-	-
8	Oh Kim Sun	-	-	-	-
9	Elaine Foong Sooi Jade	-	-	-	-

The above Directors by virtue of their shareholdings in the Company are also deemed interested in shares in the related corporations to the extent the Company has an interest.

NOTES:

(1) Deemed interested by virtue of his interest in N2N Connect Holdings Sdn Bhd and his spouse, Lai Su Ping's interest, pursuant to Sections 6A and 134 of the Act.
(2) Deemed interested by virtue of her interest in N2N Connect Holdings Sdn Bhd and her spouse, Tiang Boon Hwa's interest, pursuant to Sections 6A and 134 of the Act.
(3) Deemed interested by virtue of his spouse, Yap Oi Peng's interest, pursuant to Section 134 of the Act.
(4) Deemed interested by virtue of his spouse, Maggie Chong Mei Ling's interest, pursuant to Section 134 of the Act.

ANALYSIS OF WARRANTHOLDINGS

As At 31 March 2016

Type of Securities	:	5 Years Warrants 2013/2018
Total Warrants Issued and Not Exercised	:	75,282,102
Voting rights	:	The holders of the Warrants are not entitled to any voting rights or to participate in any distribution and/or offer of further securities in the Company until and unless such holder of the Warrants are issued with new N2N Shares arising from their exercise of the Warrants

1. DISTRIBUTION SCHEDULE OF WARRANTHOLDERS

No. of Holders	Holdings	Total Holdings	%
12	Less than 100	532	0.00
25	100 to 1,000	14,166	0.02
108	1,001 to 10,000	647,300	0.86
124	10,001 to 100,000	4,285,907	5.69
47	100,001 to less than 5% of issued Warrants	15,406,485	20.47
3	5% and above of issued Warrants	54,927,682	72.96
319		75,282,102	100.00

2. LIST OF THIRTY (30) LARGEST WARRANTS ACCOUNT HOLDERS

	Name	No. of Warrants	Percentage (%)
1	N2N Connect Holdings Sdn Bhd	46,562,469	61.85
2	Citigroup Nominees (Asing) Sdn Bhd *Exempt An for UBS Switzerland AG (Clients Assets)*	4,320,000	5.74
3	Lai Su Ping	4,045,213	5.37
4	Tiang Boon Hwa	3,405,856	4.52
5	Tiang Boon Hwa	952,733	1.27
6	Lim Siew Hong	922,100	1.22
7	CIMSEC Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ng Yen Woon (Cyberjaya-CL)*	604,000	0.80
8	Dominic Ong Sheng Yew	570,000	0.76
9	M & A Nominee (Tempatan) Sdn Bhd *Pledged Securities Account for Chia Yet Mee (M&A)*	453,800	0.60
10	Tan Meng Hooi	442,000	0.59

	Name	No. of Warrants	Percentage (%)
11	Lai Sok Kun	423,600	0.56
12	Melvin Chow Jin Hoong	416,100	0.55
13	Wong Kok Ping	390,666	0.52
14	DB (Malaysia) Nominee (Tempatan) Sendirian Berhad *Hong Leong Asset Management Berhad for Associated Land Sendirian Berhad (ED101)*	378,500	0.50
15	Maggie Chong Mei Ling	362,266	0.48
16	Choo Kian Loo	350,000	0.46
17	Amsec Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ling Yun Hwee @ Lim Bee Hong*	280,000	0.37
18	Maybank Nominees (Tempatan) Sdn Bhd *Maybank Trustees Berhad for Libra Tacticalextra Fund (250082)*	250,000	0.33
19	RHB Nominees (Tempatan) Sdn Bhd *Amara Investment Management Sdn Bhd for Lee Soon Kwee*	244,000	0.32
20	Public Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Tan Boon Leng (E-TJJ)*	239,000	0.32
21	SJ Sec Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Chua Tiong Kheng (SMT)*	233,000	0.31
22	Lai Wei Suen	229,866	0.31
23	Chow Yee Mei	218,500	0.29
24	Lee How Leng	214,700	0.29
25	Liew Siew Chin	270,400	0.28
26	Wang Ah Lien	200,300	0.27
27	Kelvin Chia Seng Ming	200,000	0.27
28	Chan See Wai	195,800	0.26
29	Kenanga Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Tan Vern Tact*	194,000	0.26
30	Chan Siew Kuen	193,000	0.26
		67,698,869	89.93

3. DIRECTOR'S INTEREST IN WARRANTS IN THE COMPANY

	Names	No. of Warrants (Direct)	Percentage (%)	No. of Warrants (Indirect)	Percentage (%)
1	Tiang Boon Hwa	4,502,089	5.98	50,607,682[(1)]	67.22
2	Lai Su Ping	4,045,213	5.37	51,064,558[(2)]	67.83
3	Chua Tiong Hoong	104,000	0.14	125,200[(3)]	0.17
4	Tan Boon Leng	411,166	0.55	362,266[(4)]	0.48
5	Goh Fuqiang, Kenneth	-	-	-	-
6	Tetsuya Iguchi	-	-	-	-
7	Akio Furuse	-	-	-	-
8	Oh Kim Sun	-	-	-	-
9	Elaine Foong Sooi Jade	-	-	-	-

NOTE:

(1) Deemed interested by virtue of his interest in N2N Connect Holdings Sdn Bhd and his spouse, Lai Su Ping's interest, pursuant to Sections 6A and 134 of the Act.
(2) Deemed interested by virtue of her interest in N2N Connect Holdings Sdn Bhd and her spouse, Tiang Boon Hwa's interest, pursuant to Sections 6A and 134 of the Act.
(3) Deemed interested by virtue of his spouse, Yap Oi Peng's interest, pursuant to Section 134 of the Act.
(4) Deemed interested by virtue of his spouse, Maggie Chong Mei Ling's interest, pursuant to Section 134 of the Act.

NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the Fifteenth Annual General Meeting of the Company will be held at Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur on Tuesday, 24 May 2016 at 10:00 a.m. to transact the following business:

Agenda

Ordinary Business

1. To receive the Audited Financial Statements for the financial year ended 31 December 2015 and the Reports of the Directors and Auditors thereon. ***(Ordinary Resolution 1)***

2. To approve the payment of Directors' fees of RM229,500 for the financial year ended 31 December 2015 (2014: RM193,700). ***(Ordinary Resolution 2)***

3. To re-elect the following Directors retiring in accordance with Article 127 of the Company's Articles of Association:

   3.1. Mr Chua Tiong Hoong ***(Ordinary Resolution 3)***

   3.2. Mdm Lai Su Ping ***(Ordinary Resolution 4)***

4. To re-elect the following Directors retiring in accordance with Article 132 of the Company's Articles of Association:

   4.1 Mr Oh Kim Sun ***(Ordinary Resolution 5)***

   4.2 Ms Elaine Foong Sooi Jade ***(Ordinary Resolution 6)***

5. To re-appoint Messrs Morison Anuarul Azizan Chew as Auditors of the Company and to authorise the Board of Directors to determine their remuneration. ***(Ordinary Resolution 7)***

Special Business

6. To consider and if thought fit, to pass the following as an ordinary resolution

   AUTHORITY PURSUANT TO SECTION 132D OF THE COMPANIES ACT, 1965

   "THAT, pursuant to Section 132D of the Companies Act, 1965 and subject to the approvals of the relevant government and/or regulatory authorities, where necessary, the Directors be and are hereby empowered to allot and issue shares in the Company at any time until the conclusion of the next Annual General Meeting and upon such terms and conditions and for such purposes as the Directors may, in their absolute discretion, deem fit provided that the aggregate number of shares to be issued does not exceed 10% of the total issued share capital of the Company at the time of issue, and that the Directors be and are also empowered to obtain the approval of Bursa Malaysia Securities Berhad for the listing of and quotation for the additional shares so issued." ***(Ordinary Resolution 8)***

7. To consider and if thought fit, to pass the following as an ordinary resolution:

PROPOSED RENEWAL OF THE AUTHORITY FOR N2N CONNECT BERHAD TO PURCHASE UP TO TEN PERCENT (10%) OF ITS ISSUED AND PAID-UP SHARE CAPITAL ("PROPOSED SHARE BUY-BACK")

"THAT, subject to the Companies Act, 1965, the Articles of Association of the Company, the Listing Requirements of Bursa Malaysia Securities Berhad ("Bursa Securities") for the ACE Market ("ACE LR") and the approval of such relevant government and/or regulatory authorities where necessary, the Company be and is hereby authorised to purchase its own ordinary shares of RM0.10 each ("Shares") on the ACE Market of Bursa Securities ("Proposed Share Buy-Back") at any time, upon such terms and conditions as the Directors shall in their discretion deem fit and expedient in the best interest of the Company provided that:-

(a) The aggregate number of Shares in the Company which may be purchased and/or held by the Company shall not exceed ten percent (10%) of the prevailing issued and paid-up share capital of the Company at the time of purchase and the compliance with the public shareholding spread requirements as stipulated in Rule 8.02(1) of the ACE LR or such other requirements as may be determined by Bursa Securities from time to time;

(b) The maximum funds to be allocated by the Company for the purpose of purchasing the Shares shall not exceed the audited retained profits and/or share premium account of the Company of RM9,835,283 and RM111,809,310 respectively as at 31 December 2015;

(c) The authority conferred by this resolution will commence after the passing of this ordinary resolution and will continue to be in force until:-

(i) the conclusion of the next Annual General Meeting ("AGM") at which time it shall lapse unless by ordinary resolution passed at the meeting, the authority is renewed, either unconditionally or subject to conditions; or

(ii) the expiration of the period within which the next AGM after that date is required by law to be held; or

(iii) revoked or varied by ordinary resolution passed by the shareholders of the Company in a general meeting;

whichever occurs first; and

(d) Upon the purchase by the Company of its own Shares, the Board of Directors of the Company ("Board") be and is hereby authorised to:-

(i) cancel all or part of the Shares purchased pursuant to the Proposed Share Buy-Back ("Purchased Shares"); and/or

(ii) retain all or part of the Purchased Shares as treasury shares; and/or

(iii) distribute the treasury shares as share dividends to the Company's shareholders for the time being; and/or

(iv) resell the treasury shares on Bursa Securities.

AND THAT authority be and is hereby given to the Board to take all such steps as are necessary or expedient to implement, finalise and give full effect to and to implement the Proposed Share Buy-Back with full powers to assent to any conditions, modifications, revaluations, variations and/or amendments (if any) as may be required or imposed by the relevant authorities from time to time and to do all such acts and things as the Board may deem fit and expedient in the best interest of the Company." ***(Ordinary Resolution 9)***

8. To transact any other business of which due notice shall have been given.

FURTHER NOTICE IS HEREBY GIVEN THAT for the purpose of determining a member who shall be entitled to attend this Fifteenth Annual General Meeting, the Company shall be requesting Bursa Malaysia Depository Sdn. Bhd. ("Bursa Depository") in accordance with Article 77 of the Company's Articles of Association and Section 34 (1) of the Securities Industry (Central Depositories) Act 1991 to issue a General Meeting Record of Depositors as at 17 May 2016. Only a depositor whose name appears on the Record of Depositors as at 17 May 2016 shall be entitled to attend the said meeting or appoint proxy/proxies to attend and/or vote on his behalf.

By order of the Board

HO MUN YEE (MAICSA 0877877)
TAM FONG YING (MAICSA 7007857)
Company Secretaries

Kuala Lumpur
29 April 2016

NOTES:

1. *A proxy may but need not be a member of the Company and the provisions of Section 149(1)(b) of the Act shall not apply to the Company.*
2. *A member shall be entitled to appoint more than one (1) proxy but not exceeding three (3) proxies to attend and vote at the same meeting. Where a member appoints more than one (1) proxy, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy. If the appointor is a corporation, this form must be executed under its Common Seal or under the hand of its attorney.*
3. *The instrument appointing a proxy must be deposited at the Company's Registered Office at 3rd Floor, No. 17 Jalan Ipoh Kecil, 50350 Kuala Lumpur not less than 48 hours before the time appointed for holding the Meeting or any adjournment thereof.*

EXPLANATORY NOTES ON SPECIAL BUSINESS

A. Authority pursuant to Section 132D of the Companies Act, 1965

The Ordinary Resolution, if passed, will give authority to the Directors of the Company, from the date of the above Annual General Meeting, to issue and allot ordinary shares in the Company up to and not exceeding in total 10% of the issued capital of the Company at the time of issue. This authority, unless revoked or varied at a general meeting, will expire at the next Annual General Meeting.

As at the date of this Notice, no new shares in the Company were issued pursuant to the mandate granted to the Directors at the last AGM held on 4 June 2015, in which the said mandate will lapse at the conclusion of this AGM.

The Renewed Mandate will provide flexibility to the Company for any possible fund raising activities, including but not limited to further placing of shares, for purpose of funding future investment project(s), working capital, acquisitions and/or such other applications that the Directors may in their absolute discretion deem fit.

B. Proposed Renewal of Authority To Buy-Back Shares

The Ordinary Resolution, if passed, will provide mandate for the Company to buy-back its own shares up to a limit of 10% of the existing issued and paid-up share capital of the Company. Further explanatory notes on Ordinary Resolution 9 is set out in the Statement to Shareholders dated 29 April 2016 despatched together with the Annual Report.

STATEMENT ACCOMPANYING THE NOTICE OF ANNUAL GENERAL MEETING

A. Further Details of the Directors who are standing for re-election as Directors

The details of the Directors who are standing for re-election at the 15th Annual General Meeting are set out in the Directors' Profile of the Company's 2015 Annual Report. No individual, other than the retiring Directors, are seeking election as Directors at the 15th Annual General Meeting.

The retiring Directors have been assessed by the Nomination Committee and the Board of Directors and are recommended for re-election at the 15th Annual General Meeting.

B. Details of attendance of Directors at Board of Directors' Meetings

Please refer to the Board of Directors' attendance as set out in the Corporate Governance Statement of the Company's 2015 Annual Report.

C. Mandate for Issuance of Securities

The Ordinary Resolution, if passed, will give authority to the Directors of the Company, from the date of the above Annual General Meeting, to issue and allot ordinary shares in the Company up to and not exceeding in total 10% of the issued capital of the Company at the time of issue. This authority, unless revoked or varied at a general meeting, will expire at the next Annual General Meeting.

As at the date of this Notice, no new shares in the Company were issued pursuant to the mandate granted to the Directors at the last AGM held on 4 June 2015, in which the said mandate will lapse at the conclusion of this AGM.

The Renewed Mandate will provide flexibility to the Company for any possible fund raising activities, including but not limited to further placing of shares, for purpose of funding future investment project(s), working capital, acquisitions and/or such other applications that the Directors may in their absolute discretion deem fit.

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N2N CONNECT BERHAD
(523137-K)
(Incorporated in Malaysia)

PROXY FORM

(NRIC No...../Tel No.....)

I/We, _____

of _____

being a member(s) of N2N CONNECT BERHAD, hereby appoint _____

of _____

or failing him/her _____

of _____

as my/our proxy, to vote for me/us and on my/our behalf at the Fifteenth Annual General Meeting of the Company to be held at Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur on Tuesday, 24 May 2016 at 10:00 a.m. or at any adjournment thereof.

The proportion of my/our shareholding to be represented by my/our proxies are as follows:-

First proxy (1) ..... % Second proxy (2) .....%

Third proxy (3) ..... %

		FOR	AGAINST
Ordinary Resolution 1	Reports and Audited Financial Statements		
Ordinary Resolution 2	Directors' fees		
Ordinary Resolution 3	Re-election of Mr Chua Tiong Hoong		
Ordinary Resolution 4	Re-election of Mdm Lai Su Ping		
Ordinary Resolution 5	Re-election of Mr Oh Kim Sun		
Ordinary Resolution 6	Re-election of Ms Elaine Foong Sooi Jade		
Ordinary Resolution 7	Re-appointment of Auditors		
Ordinary Resolution 8	Authority to issue shares pursuant to Section 132D of the Companies Act, 1965		
Ordinary Resolution 9	Proposed Share Buy-Back		

Subject to any voting instructions so given, the proxy will vote, or may abstain from voting on any resolution as he/she may think fit.

No. of Shares held

_____
Signature(s)/Common Seal of Shareholder

Dated this _____ day of _____ 2016

NOTES

1. *A proxy may but need not be a member of the Company and the provisions of Section 149(1)(b) of the Act shall not apply to the Company.*
2. *A member shall be entitled to appoint more than one (1) proxy but not exceeding three (3) proxies to attend and vote at the same meeting. Where a member appoints more than one (1) proxy, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy. If the appointor is a corporation, this form must be executed under its Common Seal or under the hand of its attorney.*
3. *The instrument appointing a proxy must be deposited at the Company's Registered Office at 3rd Floor, No. 17 Jalan Ipoh Kecil, 50350 Kuala Lumpur not less than 48 hours before the time appointed for holding the Meeting or any adjournment thereof.*

Fold this flap for sealing

Then fold here

AFFIX STAMP

The Company Secretary

N2N CONNECT BERHAD (523137-K)
3rd Floor
17, Jalan Ipoh Kecil
50350 Kuala Lumpur

1st fold here

N2N CONNECT BERHAD 523137-K

Wisma N2N, Level 9, Tower 2, Avenue 3
Bangsar South, No. 8, Jalan Kerinchi
59200 Kuala Lumpur, West Malaysia
T (603) 2241 1818 **F** (603) 2241 1616

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